

Smt. Neera Yadav vs C.B.I. (Bharat Sangh) on 25 January, 2006

Bench: Syed Rafat Alam, Sunil Ambwani, Sudhir Agarwal

JUDGMENT

1. The Division Bench after hearing the aforesaid matter, delivered two different opinions on the question of requirement of sanction under Section 197 of Criminal Procedure Code, 1973 (in short 'the Cr.P.C.'), and has referred the questions to be answered by the Full Bench. The basic issue relates to the requirement of sanction by the State Government under Section 197, Cr.P.C. for prosecuting a serving public servant under the provisions of Prevention of Corruption Act, 1988 (in short 'the Act of 1988') as well as the Indian Penal Code, when sanction under Section 19 of the Act of 1988 has been granted by the Central Government. Whether in such case, a further sanction under Section 197, Cr.P.C. will also be necessary, and if so, the effect of the absence thereof.

2. In order to appreciate the issues arising in the case, it is necessary to examine the facts of the case upon which the issues have arisen.

3. The petitioners, Smt. Neera Yadav and Shri Rajiv Kumar are members of the Indian Administrative Service of U.P. cadre. Smt Neera Yadav was posted as Chairman and Chief Executive Officer, New Okhla Industrial Development Authority (in short NOIDA) vide order dated 7.3.94 (Annex. S.R.A. 5 (Cha) in Special Appeal No, 2300/2004) in pursuance thereto she joined on 10.1.94 and worked till 8.11.1995. Sri Rajeev Kumar was posted as Deputy Chief Executive Officer, NOIDA during the relevant time.

4. Alleging that in aforesaid capacity lots of irregularities and illegalities were committed by them along with Others, a writ petition (C) No. 150/97 was filed before the Apex Court under Article 32 of the Constitution of India as a Public Interest Litigation by NOIDA Entrepreneurs Association, wherein the Hon'ble Apex Court passed an order dated 20.1.98 directing the Central Bureau of Investigation (in short 'CBI') to investigate into the allotment of plots of NOIDA and to launch prosecution and departmental inquiries on the basis of investigation, if the same is called for.

5. For brevity, the order of the Hon'ble Supreme Court is quoted as under:

In pursuance to the order dated January 6, 1998, an affidavit of Shri Sudhir Kumar, Secretary (Appointment), Government of U.P. has been filed on behalf of the State of U.P. wherein the course of the action which the State Govt. proposes to adopt with regard to the report of the Inquiry Commission has been indicated. It has been stated that the State Govt. proposes to initiate disciplinary proceedings against respondent No. 7 and to have the charges about which the Commission has expressed its inability to give specific recommendation for Want of further investigation to be inquired into by the Vigilance 'Department of the State, Having regard to the seriousness of the allegations that have been made in the matter of irregularities in the matter of allotment as well as conversion of plots in NOIDA we are of the opinion that it would

be appropriate that the matter is investigated by the Central Bureau of Investigation (CBI) and if such investigation discloses commission of a criminal offence the persons found responsible should be prosecuted in a criminal court. For the time being, we are directing the CBI to conduct an investigation in respect of the irregularities in the matter of allotments and conversions of the plots to which reference has been made in the letters of the Director (CBI) dated December 6, 1995 and December 16, 1996 (at pages 115 and 116 of the paper book) and the self-contained not appended to the letter dated December 16, 1996.

Shri G.I. Sanghi, the learned senior counsel appearing for respondent No. 7 states that though the respondent No. 7 does not admit that she has committed any irregularity in the matter of allotment or conversion of plots in NOIDA but according to respondent No. 7 there are other persons who might have committed such irregularity and he seeks leave to file an affidavit in this regard. He may file an affidavit giving particulars of such irregular allotments and in the event of such affidavit being filed further directions in that regard will be given.

As regards the irregular allotment and conversion of plots that which have been found to have been made in the report of the Inquiry Commission, we are of the view that it is necessary that action should be taken for cancellation of such allotments and conversions. Shri Rajeev Dhawan, prays for two weeks time to file a list of persons who have been fitted by such irregular allotments/ conversions. He may do so within two weeks. As regards the plots which have been irregularly allotted or converted as mentioned in the report of the Inquiry Commission, it is directed that the allottees as well as the persons in possession thereof shall maintain status quo as it exists today with regard to possession and constructions over the same and that they shall not alienate or create any third party rights in these properties. Respondent No. 1 is directed to ensure compliance of the directions. It is, however, made clear that while passing these directions we are not expressing any view of the validity of the allotment or conversion of the said plots.

The learned Counsel for the State of U.P. undertakes to supply a copy of the report of Inquiry Commission to the learned Counsel for respondent No. 1 and the learned Counsel for the CBI.

(Emphasis added)

6. In compliance of the aforesaid order CBI registered a case RC No. 3 (A)/98/ACU-VII, New Delhi on 26.2-98 and made its investigation. On the basis of its findings, it appears that a letter dated 28.3.2002 was sent by CBI to the Government of India stating that the petitioners and some other persons were guilty of certain offences under Section 420 read with 120B IPC and therefore, if sanction of the State Government is necessary, suitable action may be taken. A copy of this letter has endorsed to the State Government of U.P.

7. The Government of India sent letter dated 15.4.2002 to the D.I.G., C.B.I. suggesting if the State Government's sanction is required' in respect of certain offences under I.P.C., the same may be deleted. In the meantime, the State Government considered the matter on its own on the basis of letter dated 28.3.2002, which was endorsed to it only by way of information, and conveyed to Government of India its refusal to grant sanction under Section 197, Cr.P.C. for prosecution of Smt. Neera Yadav and Mr. Rajiv Kumar. The said letter also states that the State Government has also taken a decision that no departmental action is required to be taken against Smt. Neera Yadav and Mr. Rajiv Kumar. It also requested the Government of India to close the matter against them.

8. The Government of India, however, considered the recommendations and the findings of investigation of C.B.I. and vide its order dated 9.9.2002 granted sanction under Section 19 of Act of 1988 for prosecuting petitioners under Sections 13(1)(d) and 13(2) of Act of 1988 read with 120B IPC and for any other offences punishable under other provisions of law in respect of the aforesaid acts and for taking cognizance of the said offences by the Court of competent jurisdiction. The C.B.I. consequently, filed separate charge sheets before the Special Judge, C.B.I. under Act of 1988 against these petitioners.

9. It would be relevant in the context to quote in verbatim the charge sheets submitted by the CBJ in the, Court of Special Judge;

Charge sheet No. 1/2002-

10. Sector 14-A in NOIDA was carved out in 1984 as a residential colony for the staff and officers of NOIDA. The lay out of this sector was prepared in the year 1991 earmarking five residential plots Nos. 25, 25A, 26, 27 and 28, besides a plot of land for a club house. The areas of Plot Nos. 26, 27 and 28 were of uneven sizes upto 10.02.1994 when the same were reorganised to 450 Sq. mtrs. each by Shri S.P. Gautam, the then Chief Architect Planner (CAP), NOIDA. Out of the said plots, two were kept for residential purposes and rest (7) check for the guest house of NOIDA with the approval of Smt. Neera Yadav, the then CCEO, on 21.02.1994. On 28.5.94, Shri S.P. Gautam, as per directions of Smt. Neera Yadav, put up a proposal for providing 7.5 mtrs. wide road in between the residence of Chairman, Greater NOIDA and Plot No. 26 in sector 14-A and also for increasing the area of Plot No. 26 from 450 Sq. mtrs. to 562.5 Sq. mtrs., Plot No. 27 from 450 Sq. mtrs. to 525 Sq. mtrs. and Plot No. 28 from 450 Sq. mtrs. to 487.5 Sq. mtrs. and earmarked Plot No. 27 for guest house of NOIDA. This reorganisation was approved by Smt. Neera Yadav on 31.5.1994.

11. Shri Rajiv Kumar, DCEO made an application dated 16.8.94 for allotment of a plot of land of the largest size available measuring 450 sq. mtrs. in the residential plot scheme No. 1994 (III) in category VI and deposited Rs. 50,000/- as registration money. The plot of 450 Sq. Meters was the largest in use of the plots available for allotment in the said scheme. His application was registered vide Sl. No. 6/94 (III) on 16.8.1994. The draw of lots for the said scheme was held on 21.9.94 vide which Sh. Rajiv Kumar was allotted plot No. B-86, Sector-51, NOIDA measuring 450 s q. mtrs.

12. Sh. Rajiv Kumar was informed about the allotment of Plot No. B-86 measuring 450 sq. mtrs, Sector 51, NOIDA vide letter No. NOIDA/DMC (R) 794/5474 dt. 27.9.94. On the very same day, he

made request for conversion of his aforesaid allotted plot to a smaller plot in Sector-14-A, which was a prestigious sector of NOIDA. Shri Rajiv Kumar was allowed conversion of his plot in Sector-51 to a plot No. A-36 in Sector 44, Noida on 15.10.1994, which was communicated to him, vide the letter No. NOIDA/Sr. DM (R)/ 94/ 73 dated 15.10.94.

13. Shri Rajiv Kumar again requested Smt. Neera Yadav vide another letter dt. 15.10.94 that the plot allotted to him in Sector-44 was not as per his requirement and he was interested in getting a plot only in Sector 14-A & may be allowed conversion in only Sector-14-A by allotting a plot of smaller size. Shri S.P. Gautam, CAP, NOIDA made alterations in his note dated 31.5.1994 at the instance of Smt. Neera Yadav showing the size of plot No. 27 in Sector 14-A as 300 Sq. mts. in order to suit the requirements of Shri Rajiv Kumar who was the real beneficiary of the said alterations. The request of Shri Rajiv Kumar for conversion of his plot to the plot No. 27 in sector 14-A was thereafter processed and approved by Smt. Neera Yadav on 15.10.1994 itself. Even though as per conversion rules/ guidelines of NOIDA, conversion was allowed only once but in the case of Shri Rajiv Kumar the same was done twice as mentioned above to benefit him. The said conversion was communicated to Shri Rajiv Kumar vide letter No. NOIDA/ SR- DM (R) 94.74 dt. 17.10.94 and the lease deed of the said Plot was executed by Shri Rajiv Kumar jointly with his wife Smt. Neeva Kumar on 27.7.1995.

14. On the day of the draw of lots i.e. 21.9.1994, Sh. Rajiv Kumar, DCEO called Smt. Rekha Devyani, the then Associate Architect and Shri Tribhuwan Singh, Chief Architect Planner (CAP) of the Noida Authority in his chamber and expressed his desire to change the layout plan of Sector 14-A, NOIDA and instructed them to change the nature of use of plot No. 27 from guest house to residential. Smt. Rekha Devyani on the directions of Shri Rajiv Kumar recorded a note on 21.9.94 for change of use of plot No. 27 from 'guest house' to residential and put up the same to Sh. Tribhuvan Singh, the then, CAP who in turn submitted the same to Sh. Rajiv Kumar. Shri Rajiv Kumar also recommended the same and forwarded the said note to the then CCEO, Smt. Neera Yadav who approved the same on 24.9.94.

15. A strip of land measuring 3.5 x 30 Sq. Mtrs was shown available in between Plot No. 27 & 28 of Sector 14-A, NOIDA The Residential Deptt. Of the Noida Authority was not informed about availability of the said additional land in Sector 14-A, NOIDA. Shri Rajiv Kumar called ADM (R) on 6.11.1995 and directed him to prepare a letter of allotment of the said additional land of 105 sq. meters to him. A letter No. 5575/ 'NOIDA/ DM (R) 95 dt. 6.11.95 was accordingly issued to Shri Rajiv Kumar by NOIDA allotting the said additional land to him. No Competent Authority had approved allotment of the said land to him. A sum of Rs. 1,41,750/- was deposited by Sh. Rajiv Kumar on the same day vide Challan No. 96520 dt. 06.11.95 as the cost of said additional land. On 01.12.1995 Shri Rajiv Kumar directed Shri A.K. Goel, Project Engineer (III), to put up a note relating to additional area of 105 sq. mtrs. mentioning therein that the extra space of 105 sq. mtrs. has been included in the area of plot No. 27. Shri Rajiv Kumar, the then DCEO by abusing his official position approved the same for himself on the same day.

16. The aforesaid facts and circumstances constitute offences punishable Under Section 120B IPC read with 13 (2) read with 13(1)(d) of the Prevention of Corruption Act 1988 and substantive, offence

punishable Under Section 13(2) read with 13(1)(d) of the Prevention of Corruption Act 1988 against Shri Rajiv Kumar, DCEO and Smt. Neera Yadav, CCEO, NOIDA.

Charge sheet No. 2/2002-

17. On 25.11.1991 NOIDA launched an institutional plot scheme vide which the land for Nursing homes was offered @ - Rs. 2750 per sq. meter and the land for Hospitals @ Rs. 2000 per sq. meter, limiting the maximum area for nursing home to 1500 sq. mtrs. and the minimum area for the Hospital to 4000 sq. mtrs. In response to the said advertisement Dr. Mahesh Sharma, applied for 1000 sq. mtrs. of land for a Nursing home on 27.4.92. He subsequently revised his request through another application dated 25.8.93 for one acre of land. On 3.1.1994 he was allotted plot No. 11-33/27, Sector -27 measuring 2925 sq. mtrs. @ Rs. 2750/- per sq. mtr.

18. Dr. Mahesh Sharma of Kailash Hospital vide his applications dated 4.3.94 and 7.6.94 again requested Smt, Neera Yadav, the then CCEO Noida Authority to increase the area of land from 2925 sq. mtrs. to in between 4000 and 4250 sq. mtrs. for the purposes of running a hospital. A committee under the Chairmanship of Shri Rajiv Kumar, IAS the then Dy. Chief Executive Officer, NOIDA was, constituted on 24.6.94 which opined that additional land was not available for Kailash; Hospital. This committee also observed that in case extra land became available in future, the same could be allotted to Kailash Hospital @ Rs. 2750/- per sq. mtr. Smt Neera Yadav after discussing the said recommendations with Shri Rajiv Kumar, DCEO and Shri Tribhuvan Singh,, Chief Architect Planner (CAP) on 27.6.94 decided to put-up the request of additional allotment of land for Kailash Hospital before the Board in its next meeting.

19. As per the original lay out plan of Sector-27, NOIDA there was a park measuring 0.21 hectare and residential plots No. H-31, 32, 34 & 35 adjacent to the plot No. H-33/27 which had already been allotted to Kailash Nursing Home. In order to favour Dr. Mahesh Sharma, CMD, Kailash Hospital, Shri S.P. Gautam the then Chief Architect & Planner of NOIDA, on the directions of Smt. Neera Yadav revised the sector lay out plan of Sector 27, NOIDA on 16.7.94 vide which he deleted the residential plot Nos.H-31, 32, 34 & 35 and also reduced the area of adjoining park in Sector 27, NOIDA and increased the area of plot No. H-33/27 of Kailash Nursing Home by 1215 Sq Mtrs. making total allotted area of the said plot to 4140 sq. mtrs. Even though the said amendment in the layout plan was against the established procedure as prescribed in the Gazette Notification of 1991 of U.P., Smt. Neera Yadav approved the same on 11.8.1994.

20. The original allottees of plot No. H-31 H-34 and -35 of sector 27, NOIDA were shifted elsewhere without their consent deliberately for the purpose of making additional land available to Kailash Hospital as mentioned above. The allottee of plot No. H-31/27 Sh. Jamil Ahmed was asked to give a back dated application for conversion of his plot. Even though he did not give any application for the same, his plot was suo-moto converted to plot No. C-246/44 in Sector 44, NOIDA by Smt. Neera Yadav on 12.10.94. Similarly, the plot No. H-35/27, NOIDA of Shri S.K. Aggarwal, Junior Engineer, NOIDA was shifted to the Plot No. H-36/27, NOIDA, and the plot No. H- 34/27, NOIDA of Shri Jagat Singh Pal, ACAO, NOIDA, to plot No. C-233/44, NOIDA without their consent. The conversion of the said two plots to sector 44 of NOIDA were done in violation of the laid down

conversion guidelines of NOIDA dated 3.2.1992 & 29.9.1993.

21. On 12.8.1994 Shri J.S. Arya, DGM prepared an agenda note for the Board Meeting dated 23.8.1994 which was approved by Smt. Neera Yadav on 12.8.1994 itself. It was mentioned in the said note that M/s Kailash Hospital had requested for allotment of 4000 sq. mtrs. of land and the plot No. H-33/27 was allotted to it. It also gave reference of the Minutes of meeting of the committee headed by the DCEO on 24.6.94 in which it was specifically mentioned that the request of Kailash Hospital could not be accepted because no additional land was available there and if at all any land became available in the future, the Noida Authority could allot the same to the said Hospital at the rate of Rs. 2750 per sq. mtr. As against the said circumstances it was mentioned in the agenda for Board meeting dated 12.8.1994 that the area of 4140 sq. mtrs. had become available for allotment to Kailash Hospital @ Rs. 2000/- per sq. mtr.

22. The facts of non-availability of land as mentioned in the report dated 24.6.94 of the DCEO, NOIDA, and displacement of 4 allottees and reduction of the area of park for the purposes of making extra land available to Kailash Hospital was intentionally not mentioned in the said agenda note. The said agenda was put up before the 77th Board Meeting of NOIDA on 23.8.94 under the Chairmanship of Smt. Neera Yadav, CCEO and the same was approved accordingly. A fresh allotment letter for the entire area of 4140 sq. mtrs. was issued on 31.8.94 to Kailash Hospital vide which the entire area including the additional land of 1215 sq. mtrs. was charged @ Rs. 2000/- per sq. mtr. A pecuniary benefit of Rs. 31,05,000/- in addition to the allotment of land was thus caused to Dr. Mahesh Sharma of Kailash Hospital and hereby causing a corresponding wrongful loss to the Noida Authority.

23. The above facts and circumstances constitute commission of offences punishable under Section 120B of the Indian Penal Code read with Section 13(2) read with Section 13(1)(d); of the Prevention of Corruption Act 1988 against Smt. Neera Yadav, IAS, the then CCEO of the Noida Authority and Dr. Mahesh Sharma, CMD of the Kailash Hospital and the substantive offences punishable Under Section 13(2) read with Section 13(1)(d) of the Prevention of Corruption Act 1988 against Smt Neera Yadav.

Charge sheet No. 3/2002-

24. In the 76th Board meeting of NOIDA which was held on 18.3.94, it was decided to launch a Corporate Group Housing Scheme for allotment of group housing pockets to the functional industrial and institutional units located in NOIDA. Accordingly, the Corporate Group Housing Scheme was launched on 9.6.94 offering the land at the rate of Rs. 1600 per sq. meter to the eligible companies. According to the terms and conditions of the said scheme the functional industrial units of NOIDA having a capital investment of more than Rs. 10 crores and annual turn over of more than Rs. 30 crores or the Government/ Semi government institutions and reputed private institutions who had purchased land worth Rs. 1 crore and above from NOIDA for their corporate offices were eligible for allotment of land under the said scheme.

25. Six applicants viz. M/s. Flex Industries Ltd., M/s Flex Engineering Ltd., M/s Salora International Ltd., M/s Supreme Industries Ltd., M/s Sahara India Savibgs, & Investments Corporation Ltd. and M/s Mancan: Medical Charitable Trust applied for allotment of land under the scheme mentioned above during July 1994 to Sept. 1994. Two out of aforesaid six applicants viz M/s. Flex Industries Ltd. and M/s. Supreme Industries Ltd. were fulfilling the eligibility criteria mentioned above but their applications were neither processed nor allotment of land was made to any of them b) NOIDA.

26. M/s, Flex Engineering ltd. had declared its capital investment at Rs. 14.37 Crores and the annual turn over at Rs. 15.98 crores in their application submitted to NOIDA in response to the advertisement issued under the Corporate Group Housing Scheme as mentioned above. The said company was therefore not eligible for allotment of any land under the said scheme.

27. Smt. Neera Yadav, CCEO, NOIDA in the 78th Board Meeting of NOIDA held on 5.10.94 relaxed the eligibility conditions of the said scheme from capital investment of Rs. 10 crores and annual turnover of Rs. 30 crores to Rs. 3 crores and Rs. 10 crores respectively only with a view to make M/s Flex Engineering Ltd. also eligible for allotment of land under the said scheme. She also reduced the rate of land Rs. 1600/- per sq/mtr. To Rs. 1200/- per sq. mtrs, without assigning any valid reason. An agenda note for the above said Board Meeting was prepared on the directions of Smt. Neera Yadav, the then CCEO of the Noida Authority which was approved by her on 11.8.94. The said agenda note was put up before the board meeting held on 5.10.94 which was accordingly approved by the Board under the Chairmanship of Smt. Neera Yadav, CCEO, NOIDA. A small cryptic advertisement was published in the Rashtriya Sahara on 19.10.1994 & The Times of India on 21.10.1994 without mentioning either the revised eligibility conditions or the revised cost of land whereas in the initial advertisement both the above mentioned eligibility conditions were published.

28. The investigation further revealed that the revised scheme was to open from 22.10.94 for which the application forms were declared to be available from 22.10.94 but two deficient applications on the letter heads of the respective companies namely M/s Flex Industries Ltd. and M/s Flex Engineering Ltd. were "received by Smt. Neera Yadav on 20.10.94 itself i.e. two days before opening of the said scheme. The said companies had not submitted their applications in the prescribed proforma as mentioned, in the advertisement mentioned above. Even without the said revised eligibility conditions and the rate of land, M/s Flex Engineering Ltd. gave reference of the advertisement dated 19.10.1994 published in Rashtriya Sahara in their application dated 20.10.1994 & requested the Chairman, NOIDA to allot land to them. A similar application was also filed by M/s Flex Industries Ltd. on 20.10.94, A cheque of Rs. 22,00,000/- and another cheque of Rs. 96,000/- was enclosed with the above mentioned letters from the side of M/s Flex Engineering and Flex Industries respectively even though it was not required to be done at that time. The said money was required to be deposited only after the decisions were taken to allot land to the said companies The proposal for allotment of land to both the above industrial units of Noida were prepared by Smt. Neera Yadav herself in 21.10.94 which were finally approved by her on 22.10.9 i.e. on the very day of opening of the scheme.

29. The applications of M/s Sahara India Saving & Investments Corporation Ltd. was received on 16.11.94 and that of M/s Rajasthan Spinning & Weaving Mills Ltd. on 20.4.95 under the revised open ended scheme and despite they being eligible for allotment of land under the Said Scheme on action was taken by the Noida Authority on the said applications. M/s Flex Engineering Ltd. and M/s Flex Industries were thus given undue favours in the allotment of plots to them by relaxing the terms and conditions only suited for them in the said manner.

30. That M/s Flex Industries Ltd. and M/s Flex Engineering Ltd. had already submitted their applications on 25.7.94 in reference to the earlier advertisement dated 9.6.94 for allotment of land @ Rs. 1600/- per sq. mtr. Indicating thereby that they were all willing to purchase the land at the said rate. In spite of the said facts and circumstances the rates of land were reduced from Rs. 1600/- to Rs. 1200/- per sq. mtr. Without any demand from an > quarter or without any justification whatsoever which straightway caused the monetary benefit of Rs. 80 lakhs to M/s Flex Industries Ltd. beside the allotment of lands to them as mentioned above and Rs. 32 lakhs to M/s Flex Engineering Ltd, and corresponding wrongful loss to NOIDA. As such plot No. U-2/XI, NOIDA measuring; 8000 sq. meters to M/s Flex Engineering and A-99/51, NOIDA measuring 20000 sq. meters to M/s Flex Industries Ltd. were allotted to them.

31. That according to Clause 7 of the above mentioned scheme the allottees were required to make full payment of the "cost of the plot after adjusting the reserve money within 60 days. Smt. Neera Yadav, however, relaxed the terms of payment also to the said companies by allowing payment of 75% of the cost of plot in 10 half yearly installments. Smt. Neera Yadav also approved the payment of reserve money in respect of both the companies by cheque, which as per Clause 14 of the scheme was to be accepted in the form of account payee demand drafts only.

32. The above facts and circumstances constitute offences punishable under Section 120B of the Indian Penal Code read with Section 13(2) read with Section 13(1)(d) of the Prevention of Corruption Act 1988 against the aforesaid Smt. Neera Yadav, IAS the then CEO, NOIDA and Shri Ashok Chaturvedi, Chairman-cum-Managing Director of the Flex Group of Companies, NOIDA and the substantive offence punishable Under Section 13(2) read with Section 13(1)(d) of the Prevention of Corruption Act, 1988 against Smt. Neera Yadav.

Charge sheet No. 4/2002-

33. NOIDA had announced a residential plot scheme No. 1994 (1) for sectors 23, 32, 33, 34, 35, 49 and 53 from 1.3.94 to 7.3.94, and the said scheme was extended upto 15.3.94. According to the terms and conditions of the said scheme the eligible applicants were required to submit a notarized affidavit and an employee certificate issued by the personnel department of NOIDA on the prescribed proforma along with the registration money which was to be paid only through demand draft/pay order favouring NOIDA. Incomplete application without the enclosures as mentioned above would not be accepted by NOIDA for registration.

34. Smt. Neera Yadav applied for a residential plot in the said scheme in the category of an employee of NOIDA. Her application form was filled up by Shri B.K. Sharma, ADM (R) of NOIDA and the

same was signed by Smt. Neera Yadav. The said application form had the following deficiencies:

- i) Attested photograph of Smt. Neera Yadav was not affixed.
- ii) Date of application was not mentioned,
- iii) Signature of the applicant was not attested by a competent officer.
- iv) The required notarized affidavit was not submitted.
- v) A certificate required from the personnel deptt. Of NOIDA certifying that she was an employee of NOIDA was not enclosed.

35. Smt. Neera Yadav, however, managed to get her incomplete application accepted by NOIDA. She issued a cheque No. 395207 drawn on SBI, Noida for Rs. 40,000/-towards registration money whereas it was stipulated that the payments to NOIDA were to be made through an account payee demand draft/ pay order only. The above said cheque was dated 15.3.1994 (which was the last date of the scheme in question) but its proceeds were encashed by Allahabad bank on behalf of NOIDA only on 30.03.94.

36. A list of all the applications received by NOIDA upto the closing date of the scheme i.e., 15.3.1994 was prepared in duplicate by Sh. R.v. Tiwari, Asstt. Accountant of the residential department of NOIDA on 17.3.1994 along with the details of the bank drafts/ pay orders received towards the registration charges for handing over the same to Allahabad Bank, Sector-2, Noida for realization. The Manager, Allahabad Bank, Noida received 163 bank instruments on 17.3.94 totaling Rs. 65,20,200/- under proper acknowledgement in respect of 163 applications which did not include the above mentioned cheque No. 395207 dt. 15.3.94 for Rs. 40,000/- given by Smt. Neera Yadav, CCEO, NOIDA. The investigation has revealed that the Branch Manager of Allahabad Bank, Noida received the cheque of Smt. Neera Yadav on or around 28.3.94 and accordingly struck off the earlier endorsement of Sl. No. 163 to read as 164 and the amount of Rs. 65,20,200/- to read as Rs. 65,60,200/- at the end of the said list and initialed the same. The proceeds of the said cheque was thereafter received in the bank account of NOIDA in the Allahabad Bank, Noida on 30.3.94.

37. Smt. Neera Yadav was allotted plot No. B-002G, measuring 300 sq. mtrs. in Sector -32, Noida' vide letter No. Noida/ DM (R)/ 94/ 93 dt. 8.4.94. She was required to deposit the allotment money of Rs. 1,08,000/- and one time lease rent of Rs. 39,600/-. However, she deposited only Rs. 3600/- as one year's lease rent on 4.5.1994.,

38. On 15.4.94 Smt. Neera Yadav made a request to the Addl. Chief Executive officer of NOIDA to convert her above said plot to a plot of 450 sq. mtrs. size in some-developed and sale sector on the grounds of security. The said request was allowed by Smt. Stuti Kacker, the then Officer On Special Duty (K) of the Authority on 6.5.94 who was not competent to do so because as per the delegation of powers dated 17.6.91 the Chairman/ CEO of the NOIDA was the only officer wh6 was competent to allow conversion of plots in NOIDA. Further, Smt. Neera Yadav had not made full payment for the

one time lease rent of the allotted plot as required at the time of conversion. The plot No. B-002G of Smt. Neera Yadav was thus converted to plot No. 26 in Sector-14-A measuring 450 sq. mtrs. Smt. Neera Yadav and her husband Shri M.S. Yadav took possession of plot No. 26, Sector 14-A, Noida from the Junior Engineer, CCD-III on 21.5.94.

39. The then Chief Architect Planner (CAP) of NOIDA on the directions of Smt. Neera Yadav, CCEO put up a note dated 28.5.94 for revising the layout plans of the plot Nos. 26, 27 and 28 by increasing the sizes of the said plots from 450 sq. mtrs. to 562.5 sq. mtrs., 525 sq. mtrs. and 487.5 sq. mtrs. respectively thereby increasing the area of plot No. 26 by 112.5 sq. mtrs. In the same note the CAP also proposed for a provision of 7.5 metres wide road between the plot No. 25 and 26 of Sector 14-A to make plot, No. 26 a corner plot. This was approved by Smt. Neera Yadav on 31.5.94. The possession of additional area of 112.5 sq. meters was taken by Smt. Neera Yadav and her husband on 2.6.94, although, as per the normal procedure of NOIDA the area of the plots cannot be increased after handing over possession to its allottees.

40. Smt. Neera Yadav while working as the CCEO, NOIDA had two unmarried dependent daughters namely Ms. Samskriti Yadav (Date of Birth 4.10.73), studying in UK and Ms. Suruchi Yadav (Date of Birth 4.8.75), Studying in Kirorimal College, Delhi during the year 1994. They were part and parcel of the family of Smt. Neera Yadav who had already been allotted a plot of land in NOIDA as mentioned above. The investigation disclosed that as per the terms and conditions of the relevant residential scheme of 1994 (II) and 1994 (III), the husband, wife and their dependent children were not separately eligible for allotment of any plot of land in NOIDA in the said schemes as they were to be treated as a single family for the purpose of allotment of plot of land to them. Both the said daughters of Smt. Neera Yadav were, therefore not eligible for allotment of any plot of land in NOIDA under any scheme.

41. Smt. Neera Yadav adopted the modus operandi of getting two different commercial shops slotted in the names of her daughters Ms. Samskriti Yadav and Ms. Suruchi Yadav in NOIDA which she got declared as functional by NOIDA, even though the said shops were not functional. The payments for the said two shops were made by Smt. Neera Yadav. She thereafter, got two separate applications filed for allotment of residential plots in the names of Ms. Samskriti and Ms. Suruchi in the residential scheme 1994 (II) which remained open from 24.5.94 to 8.6.94. Ms. Samskriti was declared successful in the draw of lots in the said scheme and allotted plot No. B-73/44 of 450 sq. mtrs. vide allotment letter dated 1.8.94. Thereafter, Smt. Neera Yadav in an irregular manner converted the plot of her daughter Ms. Samskriti from the plot No. B-73/44 to plot No. A-33, Sector 44, Noida on 12.10.94 without any formal request from the allottee.

42. The shop of Ms. Samskriti Yadav was, thereafter, sold to one Mrs. Mennakshi Vijay on 19.10.95. It is worth mentioning that Ms. Samskriti Yadav while requesting the Development Manager (C) NOIDA on 19.10.95 to transfer her shop in the name of Mrs. Meenakshi Vijay mentioned that she had already availed of the benefit of taking a residential plot against the said shop indicating, thereby the said shop was acquired by her only with the ulterior motive of getting a residential plot allotted to her.

43. Ms. Suruchi also applied for allotment of a plot of land in the next residential scheme No. 1994 (III) which remained open from 8.8.94 to 22.8.94. She was declared successful in the draw of lots and got allotment of the plot No. B-88 in Sector 51, Noida on 23.9.94. Smt. Neera, Yadav also converted her plot to the Plot No. A-32, Sector-44, Noida on 10.10.94 in violation of the laid down guidelines dated 3.2.1992 and 29.9.93 of NOIDA. She thus intentionally brought both her daughters to the immediate neighbourhood of each other in Sector-44, NOIDA.

44. Major payments for the above said shops and plots were made from the joint accounts of Smt. Neera Yadav and her husband Sh. M.S. Yadav maintained in different banks of Noida and Delhi and also from the two joint accounts maintained in Oriental Bank of Commerce, Basant Lok, New Delhi in the names of (a) Ms. Samskriti, Smt. Neera Yadav & Shri M.S. Yadav and (b) Ms. Surachi, Smt. Neera Yadav and Shri M.S. Yadav during the years 1994 and 1995.

45. The lease deeds of both the aforesaid converted residential plots in the name of both the daughters of Smt. Neera Yadav were executed on 26.12.94 duly signed by Ms. Suruchi Yadav on the basis of a power of attorney held by her from Ms. Samskriti Yadav which she had sent from Glasgow (UK) where she was studying during the relevant period. One year's lease rent of both the plots was also deposited on the same day from the joint account of Smt. Neera Yadav and Shri M.S. Yadav in Bareilly Corporation Bank, Ghaziabad. Ms. Suruchi Yadav had taken possession of both the said plots from NOIDA on the 'same day.

46. Thus, Smt. Neera Yadav, IAS (U.P. 1971) while posted and functioning as the Chairman-cum-Chief Executive Officer (CCEO), NOIDA by corrupt and/ or illegal means or by otherwise abusing her official position as public servant got the allotment of plot No. B-002G in Sector -32, NOIDA measuring 300 sq. mtrs. in her name and subsequently got it converted to plot 26/ Sector -14-A despite the fact that the application submitted by her was incomplete in many respects and further that the same was submitted after dosing date of the scheme. She also dishonestly got the area of her plot No. 26 in Sector 14-A, NOIDA increased from 450 sq. mtrs. to 562.5 sq. mtrs. after taking possession of the same. She also got two plots allotted in the names of her two daughters Ms. Samskriti Yadav and Ms. Suruchi Yadav who were dependent on her and she was knowing it well that as per rules of NOIDA only one plot of land could be allotted in NOIDA to one family. In spite of this, she got the additional plots allotted in her daughter's name. Smt. Neera Yadav also converted the allotted plots of her daughters in the prime sector No. 44 of NOIDA in violation of the laid down conversion guidelines of the NOIDA and thereby caused pecuniary advantage to herself and also to her two daughters.

47. The above said facts and circumstances constitute offence punishable Under Section 13(2) read with Section 13(1)(d) of the Prevention of Corruption Act, 1988, against Smt. Neera Yadav, IAS, the then Chairman-cum-Chief Executive Officer of NOIDA.

48. From a careful reading of these four charge sheets, offences under Section 13(1)(d) and (2) of Act of 1988 read with Section 120B, I.P.C. are prima facie made out in charge sheets 1, 2 & 3. The fourth charge sheet No. 4/02 prima facie makes out an offence under Section 13(1)(d) and (2) of the Act of 1988.

49. The petitioners being aggrieved after submission of the aforesaid charge sheets, filed separate Criminal Misc. "I Applications under Section 482, Cr.P.C. before this Court seeking quashing of the charge sheets filed against them. They also filed applications before Special Judge, C.B.I. stating since no sanction of the appropriate Government, i.e., Government of U.P., under Section 197 Cr.P.C. has been obtained, they cannot be prosecuted, and hence they are entitled for discharge.

50. The Special Judge, C.B.I. rejected their applications and held that prima facie case is made out in the charge sheets, and therefore, the accused are to be charged.

51. Challenging the orders of the Special Judge, C.B.I., the petitioners have filed criminal revisions.

52. The various charge sheets and Further proceedings in various cases may be shown in the form of a chart, as under:

Sl. No.	Name of Charge	Special Criminal No.	accused	Sheet case	Revision Mics
J	u	d	g	e	
1.	Neera	01/2002	19/2002	2284/2000	4 11018/2002 Yadav, I.A.S.
Y	a	d	a	v	, I . A . S .
Y	a	d	a	v	, I . A . S .
Y	a	d	a	v	, I . A . S .
5.	Rajeev	1/2002	19/2002	3216/2004	10978/2002 Kumar I.A.S.

53. A Division Bench heard all the aforesaid matters but could not come to a consensus decision. The Hon'ble Judges recorded their separate opinions and on the question of applicability of sanction under Section 197 Cr.P.C. and its effect, They formulated two questions, which have been referred to us. Learned counsel for the parties while addressing this Court at the outset submitted that in view of the facts involved as well as two opinions rendered by the Hon'ble Judges, the questions referred by the Division Bench needs reformulation. We found their submission to be correct and accordingly the questions were reframed vide our order dated 20.12.2005, asunder:

1. Whether in the case of public servant which can be removed only by the Central Government and sanction under Section 19 of, the Prevention of Corruption Act,

1988 is also given, further sanction under Section 197 of the Criminal Procedure Code is also required because at the relevant time the said public servant was also employed in connection with the affairs of the State Government.

2. Whether public servant who is charged under Section 13 of the Prevention of Corruption Act as also under Section 120B IPC and the sanction Under Section 19 of the Prevention of Corruption Act is already given by the Central Government, yet the sanction by the State Government under Section 197 of the Code of Criminal Procedure is necessary since he is being charged under Section 120B IPC also.

3. If the answer to the above two questions is in affirmative, then, whether the alleged act or omission for which the petitioner are being charged had reasonable connection to the discharge of their official duty calling for applicability of Section 197 of the Code of Criminal Procedure.

54. We heard Shri Daya Shankar Misra, Advocate, appearing for Smt. Neera Yadav in Criminal Revision Nos. 2282/2004, 2283/2004, 2284/2004, 2300/2004 and Criminal Misc. Application Nos. 11017/2002, 11018/2002, 11019/2002 and 11187/2002; Shri Sushil Kumar, Senior Advocate for Shri Rajeev Kumar in Criminal Revision No. 3216/2004 and Criminal Misc. Application No. 10978/2002; Shri U.N. Sharma, Senior Advocate for Dr. Mahesh Sharma in Criminal Revision Nos. 2161/2004 & 1859/2002, Shri V.P. Srivastava, Advocate for Shri Ashok Chaturvedi in Criminal Revision No. 1892/2002 and 2191/2004, and Shri G.S. Hajera, Advocate for C.B.I.

55. Before adverting to answer the questions, learned compels for the petitioners made an attempt to argue that there is no valid evidence against the petitioners and thus the charges have no ground to stand. We did not permit them to re-agitate the issue, as it has been decided by consensus of the Division Bench, holding that no case is made out to discharge the applicants at this stage. The Special Judge was right in proceeding with the matter after rejecting the application of the petitioners for discharge. The Hon'ble Chief Justice in his opinion while rejecting the contention of the petitioners held, as under;

We have to ask ourselves this simple question that on the basis of the above facts, are they being harassed and only being harassed by these proceedings? The simple answer is quite clearly and categorically in the negative. On the basis of preliminary facts therefore the applications must all fail.

56. Hon'ble Ashok Bhushan, J. in his opinion has taken the same view, as under;

I am in full agreement with the opinion expressed by Hon'ble the Chief Justice while discussing this part of the judgment and I am of the same view that no case was made out to discharge the applicants at that stage.

57. The issue has been decided against the petitioners and is not a matter referred to us.

RIVAL SUBMISSIONS:

58. Shri D.S. Misra, learned Counsel submits if a prosecution is to be launched for offences under different enactments, sanction may be required under all such enactments separately and more than one sanction is not only permissible but would also be necessary. In support of the submission he has relied upon the Apex Court's judgment in *R.R. Chari v. State of U.P.* He further submitted that the provisions pertaining to sanction is a jurisdictional issue. It is a protection available to a public servant and as such it has to be strictly construed as laid down by the Apex Court in *R. Balakrishna Fillai v. State of Kerala* *B. Saha v. M.S. Kochar*. *Center for Public Interest Litigation v. Union of India*. Judgment Today (2005) 12 SC 369, *Abdul Wahab Ansari v. State of Bihar* 2001. SCC. (Cr.) 18, *Gauri Shanker Prasad v. State of Bihar* 2000 SCC (Cr.) 872, *Shri Kantaiva Ramaia Munipalli v. State of Bombay* and *Ravindra Kumar Sharma v. State* 12001 Alld. Criminal Reporting 7.

59. He further submits that the actions of the petitioner Smt. Neera Yadav, subject matter of the various charge sheets were performed in discharge of her official duties and therefore, Section 197 Cr.P.C. is attracted. The mere fact that sanction under Section 19 of the Act of 1988, has been granted by the Government of India is sufficient to fortify his contention that she has acted in discharge of her official duties. He placed reliance on *MPSPE v. State of Madhya Pradesh* AIR 2005 SC 325, *P.C. Vajpavee v. Rehman* 1986 ALJ 81. *Kailash Sethi v. State* (1978) 15 ACC 192. to support the submission.

60. Shri Misra submitted that prosecution under Section 120B IPC cannot proceed in the absence of sanction under Section 197 Cr.P.C. He submits that since all the acts were in discharge of her official duties, even for prosecution under Section 13 of the Act of 1988, sanction under Section 197 Cr.P.C. is necessary and merely on the basis of sanction granted under Section 19 of Act of 1988 by the Government of India, cognizance cannot be taken in these matters.

61. He also argued that Smt. Neera Yadav is a public servant and all the acts were in discharge of official duty. She was at the time of alleged commission of offence employed in connection with the affairs of State. Thus without sanction of State Government under Section 197 Cr.P.C., the cognizance taken by the Special Judge is evidently illegal. The observations made in *Kali Charan Mohapatra v. State of Orissa* as relied by Hon'ble Ashok Bhushan, J., according to him are not correct and are per incuriam in view of law laid down in *State of Punjab v. Baldev Singh*, *Lala Shri Bhagwan v. Ramchandra & A.R. Antulay v. R.S. Nayak* and *Anr.* .

62. He urges that though the appointing and dismissal authority of the petitioner, Smt. Neera Yadav is Government of India as she is a member of the Indian Administrative Service, but since she belongs to the State cadre of U.P., for all practical purposes her controlling authority is State of U.P. and once it has taken a positive decision that no case is made out for her prosecution, it was sufficient restraint for other respondents to proceed in the matter. The C.B.I. acted illegally in filing charge sheets after obtaining sanction only from the Government of India under Section 19 of the Act of 1988. Thus he submits that the entire proceedings are vitiated in law.

63. Shri Sushil Kumar, learned Counsel on behalf of Shri Rajiv Kumar submitted that whatever action has been taken by Shri Rajiv Kumar as Deputy Chief Executive Officer of Noida, was taken with the approval of the Board, constituted for NOIDA, and in the absence of sanction under Section 197 Cr.P.C. no prosecution can be launched against Shri. Rajiv Kumar either under Section 120B IPC or under any provision of the Act of 1988. He argued that the question of sanction is a matter of jurisdiction of the trial court and even if ex facie the petitioner has committed an offence, he cannot be prosecuted unless and until sanction under Section 197 Cr.P.C. is obtained from the State Government. He also submits that the Central Government is not the competent authority to grant sanction in the present case. The order of the Central Government under Section 19 of the Act of 1988 is not in accordance with the law as the competent authority is State of U.P., which is the cadre controlling authority of Shri Rajiv Kumar., He submits that where the actions are in discharge of official duty, a public servant cannot be prosecuted under any provision of Act of 1988 or under IPC, unless sanction under Section 197 Cr.P.C. is taken from the State Government, In the absence thereof the entire proceedings are without jurisdiction.

64. Shri Sushil Kumar, learned Counsel submitted that Section 19 of Act of 1988 in so far as it authorizes such authority, who is competent to remove public servant, as a authority competent to sanction, means the authority which shifts and transfers such public servant and not termination of service. He submits that for the purpose of Section 19(1)(c) of the Act of 1988, the competent authority to grant sanction is State Government and not the Central Government. He also submitted that Section 19 has no overriding effect over Section 197 Cr.P.C. and if an officer of State Cadre is involved, the sanction of State Government under Section 197 Cr.P.C. is mandatory. He also submitted tha the discretion of State Government in the matter of sanction is absolute and even if it refuses sanction for political reasons, the same would be final and binding. He relied upon "the judgment of the Privy Council in the matter of Gopal Chand Dwarka Das Morarka v. King AIR 1948 Privy Council 82 followed in Mansukh Lal Vitthal Das v. State 1997 SCC (Cr.) 1120.

65. He further submitted that initially the FIR was lodged by C.B.I. on 26.2.1998 only under Section 420 IPC and the letter dated 28.3.2002 sent by C.B.I. to Government of India also discloses offence under Section 420 read with 120B, IPC. Pointing to the Government of India's letter dated 15.4.2002 he argued that the Government of India did not act independently, as it was stated in para 2 that if the charges under IPC require sanction from the State Government, the same may be deleted. He further submitted that once the State Government refused sanction on 28.6.2002 it was not open to the Government of India to proceed further by granting sanction on 9.9.2002. The act of the respondents he alleges is not above board and shows some prejudice against the accused petitioners, Smt. Neera Yadav and Sri Rajiv Kumar. Lastly he submitted that the Government of India has not granted any sanction for prosecution under Section 120B IPC and therefore, the entire proceedings are vitiated in law.

66. Shri U.N. Sharma, senior counsel appearing on behalf of Dr. Mahesh submitted that the petitioner Dr. Mahesh is not directly concerned with the questions required to be adjudicated by us, but since the continuance of the proceedings against Smt. Neera Yadav and Shri Rajeev Kumar, I.A.S. would also prejudice his case he is supporting the submissions advanced on their behalf. Referring to Section 3, 6 (f) and 19 of the U.P. Industrial Area Development Act, 1976 as well as

Section 13 of the Act of 1988, Shri Sharma contended that a person can be charged under Section 13 of the Act of 1988, either for violation of any provision of 1976 Act or Regulations framed thereunder, In the present case he submitted that the entire alleged action of Smt. Neera Yadav and Shri Rajiv Kumar was discharged in their official capacity, and as per the decision taken by the NOIDA Board, which was competent to take any decision under law, They did not violate any provisions of 1976 Act or the Regulation framed thereunder, He contended that sanction under Section 197 Cr.P.C. is not only required for prosecution under Section 120B IPC against a public servant, a separate sanction under Section 197 Cr.P.C. is also necessary for prosecuting him under the the Act of 1988.

67. Shri V.P. Srivastava, learned Counsel for Sri Ashok Chaturvedi, tried to place before the Court, various documents in order to show that the allotment made in favour of M/s Flex Industries and Flex Engineering was in accordance with law, and thus, the prosecution against Sri Ashok Chaturvedi is without any basis.

68. Shri G.S. Hajela, learned Counsel appearing for CBI contended that Section 40 IPC shows; that Section 120B is neither independent nor can operate on its own but takes colour from other offences, which, the accused has entered into agreement, to commit. He submitted that a criminal conspiracy to benefit certain individuals and to himself cannot be said to be in discharge of official duties and that no sanction is required against such a public servant, when he is sought to be prosecuted under Act of 1988 read with 120B IPC. In support of his submissions he placed reliance on State of U.P. v. Pava Narain 2000 ACC 123 (para 5.) State of Orissa v. Pevendra Nath Padhi 2005 (1) Crime 1 (para 8) and (18) and State of Himachal Pradesh v. M.P. Gupta (2004) 2 SCC 349 (para 8.)

69. Shri Hajela further submitted that while working as Chairman and Chief Executive Officer, Smt. Neera Yadav was not a public servant and same is the case of Shri Rajiv Kumar. They were on deputation with the NOIDA, which is a statutory, independent and autonomous body. In support thereof Shri Hajela relied upon (2005) 1 Crime 54, N.K. Sharma v. Abhimanvu and , Mohd. Hadi Raza v. State of Bihar Relevant Statutory Provisions:

Before advertng to the rival submissions it would be useful to have a glance over the necessary statutory provisions referred to by the learned Counsel for the parties as well as in the two opinions of the Hon'ble Judges, as contained in the statutes relevant in the present set of cases.

Indian Penal Code, 1860;

Section 40-"(Offence"- Except in the Chapters and sections mentioned in Clauses 2 and 3 of this section, the word "offence" denotes a thing made punishable by this Code.

In Chapter IV, Chapter V-A and in the following sections, namely, Sections 64, 65, 66, 67, 71, 109, 110, 112, 114, 115, 116, 117, 187, 194, 195, 203, 211, 213, 214, 221, 222,

223, 224, 225, 327, 328, 329, 330, 331, 347, 348, 388, 389 and 445, the word "offence" denotes a thing punishable under this Code, or under any special or local law as hereinafter defined.

And in Sections 141, 176, 177, 201, 202, 212, 216 and 441, the word "offence" has the same meaning when the thing punishable under the special or local law is punishable under such law with imprisonment for a term of six months or upwards, whether with or without fine.

Section 120A- Definition of criminal conspiracy-

When two or more persons agree to do, or cause to be done-

(1) an illegal act, or (2) an act which is not illegal by illegal means, such an agreement is designated a criminal conspiracy:

Provided that no agreement except an agreement to commit an offence shall amount to a criminal conspiracy unless some act besides the agreement is done by one or more parties to such agreement in pursuance thereof Explanation- It is immaterial whether the illegal act is the ultimate object of such agreement, or is merely incidental to that object.

120-B- Punishment of criminal conspiracy- (1) Whoever is a party to a criminal conspiracy to commit an offence punishable with death, imprisonment for life or rigorous imprisonment for a term of two years or upwards, shall, where no express provision is made in this Code for the punishment of such a conspiracy, be punished in the same manner as if he had abetted such offence.

(2) Whoever is a party to a criminal conspiracy other than a criminal conspiracy to commit an offence punishable as aforesaid shall be punished with imprisonment of either description for a term not exceeding six months, or with fine or with both, Code of criminal procedure J 973:

Section 2(n)- "offence" means any act or omission made punishable by any law for the time being in force and includes any act in respect of which a complaint may be made under Section 20 of the Cattle Trespass Act, 1871 (1 of 1871).

Section 197- (1) When any person who is or was a Judge or Magistrate or a public servant not removable from his office save by or with the sanction of the Government is accused of any offence alleged to have been committed by him while acting or purporting to act in the discharge of his official duty, no Court shall take cognizance of such offence except with the previous sanction-

(a) in the case of a person who is employed or, as the case may be, was at the time of commission of the alleged offence employed, in connection with the affairs of the Union, of the Central Government;

(b) in the case of a person who is employed or, as the case may be, was at the time of commission of the alleged offence employed, in connection with the affairs of a State, of the State Government:

[Provided that where the alleged offence was committed, by a person referred to in Clause (b) during the period while a Proclamation issued under Clause (1) of Article 356 of the Constitution was in force in a State, Clause (b) will apply as if for the expression "State Government" occurring therein, the expression "Central Government" were substituted.

(2) No Court shall take cognizance of any offence alleged to have been committed by any member of the Armed Forces of the Union while acting or purporting to act in the discharge of his official duty, except with the previous sanction of the Central Government.

(3) The State Government may, by notification, direct that the provisions of Sub-section (2) shall apply to such class or category of the members of the Forces charged with the maintenance of public order as may be specified therein, wherever they may be serving, and thereupon the provisions of that Sub-section will apply as if for the expression "Central Government" occurring therein, the expression "State Government" were substituted, (3-A) Notwithstanding anything contained in Sub-section (3), no court shall take cognizance of any offence, alleged to have been committed by any member of the Forces charged with the maintenance of public order in a State while acting or purporting to act in the discharge of his official duty during the period while a Proclamation issued under Clause (1) of Article 356 of the Constitution was in force therein, except with the previous sanction of the Central Government.

[(3-B) Notwithstanding anything to the contrary contained in this Code or any other law, it is hereby declared that any sanction accorded by the State Government or any cognizance taken by a court upon such sanction, during the period commencing on the 20th day of August, 1991 and ending with the date immediately preceding the date on which the Code of Criminal Procedure (Amendment) Act, 1991, receives the assent of the President, with respect to an offence alleged to have been committed during the period while a Proclamation issued under Clause (1) of Article 356 of the Constitution was in force in the State, shall be invalid and it shall be competent for the Central Government in such matter to accord sanction and for the court to take cognizance thereon.] (4) The Central Government or the State Government, as the case may be, may determine the person by whom., the manner in which, and the offence or offences for which, the prosecution of such Judge, Magistrate or public servant is to be conducted, and may specify the Court before which the trial is to be held.

Prevention of Corruption Act, 1947

6. Previous sanction necessary for prosecution. (1) No court shall take cognizance of an offence punishable under Section 161 or Section 164 or Section 165 of the Indian Penal Code (45 of 1860) or under Sub-section (2)[or Sub-section (3)] of Section 5 of this Act, alleged to have been committed by a public servant except with the previous sanction-

(a) in the case of a person who is employed in connection with the affairs of the Union and is not removable from his office save by or with the sanction of the Central Government, of the Central Government;

(b) in the case of a person who is employed in connection with the affairs of a State and is not removable from his office save by or with the sanction of the State Government, of the State Government.

(c) In the case of any other person, of the authority competent to remove him from his office.

(2) Where for any reason whatsoever any doubt arises whether the previous sanction as required under Sub-section (1) should be given by the Central or State Government or any other authority, such sanction shall be given by that Government or authority which would have been competent to remove the public servant from his office at the time when the offence was alleged to have been committed.

Prevention of Corruption Act, 1988 Section 3-Power to appoint Special Judges-

(1) The Central Government or the State Government may, by notification in the Official Gazette, appoint as many Special Judges as may be necessary for such area or areas or for such case or group of cases as may be specified in the notification to try the following offences, namely:

(a) any offence punishable under this Act; and

(b) any conspiracy to commit or any attempt to commit or any abetment of any of the offences specified in Clause (a).

(2) A person shall not be qualified for appointment as a Special Judge under this Act unless he is or has been a Sessions Judge or an Additional Sessions Judge or an Assistant Sessions Judge under the Code of Criminal Procedure, 1973 (2 of 1974), Section 4- Cases triable by Special Judges-

(1) Notwithstanding anything contained in the Code of Criminal Procedure, 1973 (2 of 1974), or in any other law for the time being in force, the offences specified in Sub-section (1) of Section 3 shall be tried by Special Judges only.

(2) Every offence, specified in Sub-section (1) of Section 3 shall be tried by the Special Judge for the area within which it was committed, or, as the case may be, by the Special Judge appointed for the case, or where there are more Special Judges than one for such area, by such one of them as maybe specified in this behalf by the Central Government, (3) When trying any case, a Special Judge may also try any offence, other than an offence specified in Section 3, with which the accused may, under the Code of Criminal Procedure, 1973 (2 of 1974), be charged at the same trial.

(4) Notwithstanding anything contained in the Code of Criminal Procedure, 1973 (2 of 1974), a Special Judge shall, as far as practicable, hold the trial of an offence on day-to-day basis.

Section 5-Procedure and powers of Special Judge- (1) A Special Judge may take cognizance of offences without the accused being committed to him for trial and, in trying the accused persons, shall follow the procedure prescribed by the Code of Criminal Procedure, 1973 (2 of 1974), for the trial of warrant cases by Magistrates.

(2) A special Judge may, with a view to obtaining the evidence of any person supposed to have been directly or indirectly concerned in, or privy to, an offence, tender a pardon to such person on condition of his making a full and true disclosure of the whole circumstances within his knowledge relating to the offence and to every other person concerned, whether as principal or abettor, in the commission thereof and any pardon so tendered shall, for the purposes of Sub-sections (1) to (5) of Section 308 of the Code of Criminal Procedure, 1973 (2 of 1974), be deemed to have been tendered under Section 307 of that Code.

(3) Save as provided in Sub-section (1) or Sub-section (2), the provisions of the Code of Criminal Procedure, 1973 (2 of 1974), shall, so far as they are not inconsistent with this Act, apply to the proceedings before a Special Judge; and for the purposes of the said provisions, the Court of the Special Judge shall be deemed to be a Court of Session and the person conducting a prosecution before a Special Judge shall be deemed to be a public prosecutor.

(4) In particular and without prejudice to the generality of the provisions contained in Sub-section (3), the provisions of Sections 326 and 475 of the Code of Criminal Procedure 1973 (2 of 1974), shall, so far as may be, apply to the proceedings before a Special Judge and for the purposes of the said provisions, a Special Judge shall be deemed to be a Magistrate.

(5) A Special Judge may pass upon any person convicted by him any sentence authorized by law for the punishment of the offence of which such person is convicted.

(6) A Special Judge, while trying an offence punishable under this Act, shall exercise all the powers and functions exercisable by a District Judge under the Criminal Law Amendment Ordinance, 1944 (Ordinance 38 of 1944).

Section 13- Criminal misconduct by a public servant- (1) A public servant is said to commit the offence of criminal misconduct,-

(a) if he habitually accepts or obtains or agrees to accept or attempts to obtain from any person for himself or for any other person any gratification other than legal remuneration as a motive or reward such as is mentioned in Section 7; or

(b) if he habitually accepts or obtains or agrees to accept or attempts to obtain for himself or for any other person, any valuable thing without consideration or for a consideration which he knows to be inadequate from any person whom he knows to have' been, or to be, or to be likely to be concerned in any proceeding or business transacted or about to be transacted by him, or having any connection with the official functions of himself or of any public servant to whom he is subordinate, or from any person whom he knows to be interested in or related to the person so concerned; or

(c) if he dishonestly or fraudulently misappropriates or otherwise converts for his own use any property entrusted to him or under his control as a public servant or allows any other person so as to do; or

(d) if he,-

(i) by corrupt or illegal means, obtains for himself or for any other person any valuable thing or pecuniary advantage; or

(ii) by abusing his position as a public servant, obtains for himself or for any other person any valuable thing or pecuniary advantage; or

(iii) while holding office as a public servant, obtains for any person any valuable thing or pecuniary advantage without any public interest; or

(e) if he or any person on his behalf, is in possession or has, at any time during the period of his office, been in possession for which the public servant cannot satisfactorily account, of pecuniary resources or property disproportionate to his known sources of income.

Explanation-For the purposes of this section, "known sources of income" means income received from any lawful source and such receipt has been intimated in accordance with the provisions of any law, rules or orders for the time being applicable to a public servant.

(2) Any public servant who commits criminal misconduct shall be punishable with imprisonment for a term which shall be not less than one year but which may extend to seven years and shall also be liable to fine.

Section 19- Previous sanction necessary for prosecution-(1) No court shall take cognizance of offence punishable under Sections 7, 10, 12, 13 and 15 alleged to have been committed by a public servant, except with the previous sanction,-

(a) in the case of a person who is employed in connection with the affairs of the Union and is not removable from his office save by or with the sanction of the Central Government, of that Government;

(b) in the case of a person who is employed in connection with the affairs of a State and is not removable from his office save by or with the sanction of the State Government, of that Government;

(c) in the case of any other person, of the authority competent to remove him from his office.

(2) Where for any reason whatsoever any doubt arises as to whether the previous sanction as required under Sub-section (1) should be given by the Central Government or the State Government or any other authority, such sanction shall be given by that Government or authority which would have been competent to remove the public servant from his office at the time 'when the offence was alleged to have been committed.

(3) Notwithstanding anything contained in the Code of Criminal Procedure, 1973 (2 of 1974)-

(a) no finding, sentence or order passed by a Special Judge shall be reversed or altered by a Court in appeal, confirmation or revision on the ground of the absence of, or any error, omission or irregularity in, the sanction required under Sub-section (1), unless in the opinion of that court, a failure of justice has in fact been occasioned thereby;

(b) no court shall stay the proceedings under this Act on the ground or any error, omission or irregularity in the sanction granted by the authority, unless it is satisfied that such error, omission or irregularity has resulted in a failure of justice;

(c) no court shall stay the proceedings under this Act on any other ground and no court shall exercise the powers of revision in relation to any interlocutory order passed in any inquiry, trial, appeal or other proceedings.

(4) In determining under Sub-section (3) whether the absence of, or any error, omission or irregularity in, such sanction has occasioned or resulted in a failure of justice the court shall have regard to the fact whether the objection could and should have been raised at any earlier stage in the proceedings.

Explanation- For the purposes of this section,-

(a) error includes competency of the authority to grant sanction;

(b) a sanction required for prosecution includes reference to any requirement that the prosecution shall be at the instance of a specified authority or with the sanction of a specified person or any requirement of a similar nature.

Section 22- The Code of Criminal Procedure, 1973 to apply subject to certain modifications- The provisions of the Code of Criminal Procedure, 1973 (2 of 1974), shall in their application to any proceeding in relation to an offence punishable under this Act have effect as if,-

(a) in Sub-section (1) of Section 243 for the words "The accused shall then be called upon", the words "The accused shall then be required to give in writing at once or within such time as the Court may allow, a list of the persons (if any) whom he proposes to examine as his witnesses and of the documents (if any) on which he proposes to rely and he shall then be called upon " had been substituted;

(b) in Sub-section (2) of Section 309, after the third proviso, the following proviso had been inserted, namely:

Provided also that the proceeding shall not be adjourned or postponed merely on the ground that an application under Section 397 has been made by a party to the proceeding;

(c) after Sub-section (2) of Section 317, the following Sub-section had been inserted, namely;-

(3) Notwithstanding anything contained in Sub-section (1). or Sub-section (2), the Judge may, if he thinks fit and for reasons to be recorded by him, proceed with inquiry or trial in the absence of the accused or his pleader and record the evidence of any witness subject to the right of the accused to recall the witness for cross-examination ;

(d) in Sub-section (1) of Section 397, before the Explanation, the following proviso had been inserted, namely:

Provided that where the powers under this section are exercised by a Court on an application made by a party to such proceedings, the Court shall not ordinarily call for the record of the proceedings:

(a) without giving the other party an opportunity of showing cause why the record should not be called for; or

(b) if it is satisfied that an examination of the record of the proceedings may be made from the certified copies.

Section 28- Act to be in addition to any other law- The provisions of this Act shall be in addition to, and not in derogation of, any other law for the time being in force, and nothing contained herein shall exempt any public servant from any proceeding which might, apart from this Act, be instituted against him.

Uttar Pradesh Industrial Area Development Act, 1976;

Section 3- Constitution of the Authority- (1) The State Government may, by notification, constitute for the purposes of this Act, an Authority to be called "(Name of the area) Industrial Development Authority", for any industrial development area.

(2) The Authority shall be a body corporate.

(3) The Authority shall consist of the following:

(a)The Secretary to the Government, Member-

Uttar Pradesh, Industries Chairman
Department or his nominee not
below the rank of Joint Secretary-
ex officio

(b)The Secretary to the Government, Member Uttar Pradesh, Public Works
Department or his nominee not below the rank of Joint Secretary-ex officio

(c)The Secretary to the Government, Member Uttar Pradesh, Local Self-

Government Department or his nominee not below the rank of Joint Secretary- ex officio

(d)The Secretary to the Government, Member Uttar Pradesh, Finance Department or his nominee
not below the rank of Joint Secretary-

ex officio

(e)The Managing Director, U.P. State Member
Industrial Development
Corporation-ex officio

(f)Five members to be nominated by the State ' Government by notification

(g)Chief Executive Officer Member Secretary.

(4) The headquarters of the Authority shall be at such place as may be notified by the State Government.

(5) The procedure for the conduct of the meetings for the Authority shall be such as may be prescribed, (6) No act or proceedings of the Authority shall be invalid by reason of the existence of any vacancy in or defect in the constitution of the Authority.

Section 6- Functions of the Authority- (1) The object of the Authority shall be to secure the planned development of the industrial development areas, (2) Without prejudice to the generality of the objects of the Authority, the Authority shall perform the following functions-

(a) to acquire land in the industrial development area, by agreement or through proceedings under the Land Acquisition Act, 1894 for the purposes of this Act;

(b) to prepare a plan for the development of the industrial development area;

(c) to demarcate and develop sites for industrial, commercial and residential purposes according to the plan;

(d) to provide infra-structure for industrial, commercial and residential purposes;

(e) to provide amenities;

(f) to allocate and transfer either by way of sale or lease or otherwise plots of land for industrial, commercial or residential purposes;

(g) to regulate the erection of buildings and setting up of industries; and

(h) to lay down the purpose for which a particular site or plot of land shall be used, namely for industrial or commercial or residential purpose or any other specified purpose in such area.

Section 19- Power to make regulations- (1) The Authority may with the previous approval of the State Government, make regulation not inconsistent with the provisions of this Act or the rules made there under for the administration of the affairs of the Authority.

(2) In particular, and without prejudice to the generality of the foregoing power, such regulation may provide for all or any of the following matters, namely,-

(a) the summoning and holding of meetings of the Authority the time and place where such meetings are to be held, the conduct of business at such meetings, and the number of members necessary to form a quorum thereat;

(b) the powers and duties of the Chief Executive Officer;

- (c) the form of register of application for permission to erect a building;
- (d) the management of properties of the Authority;
- (e) fees to be levied in the discharge of its functions;
- (f) such other matters as are to be provided for in regulation, Prevention of Corruption Act, 1947 & 1988--Their Objective & Purpose

70. Section 197 of Code of Criminal Procedure, 1898, required sanction for prosecution of a public servant to be given by the respective Government for prosecution, if the charges relate to an act, which is in discharge of official duty. At the relevant time the offences of corruption were contained in Section 161 to 165 IPC.

71. It appears that in post Second World War period, the legislature apprehended that the war conditions had tremendously increased the scope for bribery and corruption of public servants and though the war was over in 1946, opportunities for corrupt practices are likely to remain for considerable time to come. Large amounts of Government surplus stores were to be disposed of, in respect to certain kinds of items, shortage was likely to continue for sufficiently long time requiring imposition of controls etc, and extensive schemes of post war reconstruction, were to be launched involving disbursement of large sums of government money. All these activities were apprehended to offer wide scope of corrupt practices. Seriousness of the evil and possibility of its continuance or extension in future required immediate and drastic action to stamp it out (Gazette of India dated 23.11.1946 Part 5 page 374).

72. In these circumstances, the Prevention of Corruption Act, 1947 (in short Act of 1947) was enacted for more effective prevention of bribery and corruption. While considering the provisions of Act of 1947, the Hon'ble Apex Court in S.A. Venkataraman v. State AIR 1958 SC 107 observed as under:

These provisions of the Act indicate that it was the intention of the legislature to treat more severely than hitherto corruption on the part of a public servant and not to condone it in any manner whatsoever.

73. Again in M. Narayanan Nambiar v. State of Kerala AIR 1963 SC 1116 the Hon'ble Apex Court held as under:

The preamble indicates that the Act was passed as it was expedient to make more effective provision for the prevention of bribery and corruption. The long title as well as the preamble indicate that the Act was passed to put down the said social evil i.e. bribery and corruption by public servant. Bribery is a form of corruption. The fact that in addition to the word 'bribery' the word 'corruption' is used shows that the legislation was intended to combat also 'other evils in addition to bribery. The existing law i.e. Penal Code was found insufficient to eradicate or even to control the

growing evil of bribery and corruption corroding the public service of our country. The provisions broadly include the existing offences under Sections 161 and 165 of the Indian Penal Code committed by public servants and enact a new rule of presumptive evidence against the accused. The Act also creates a new offence of criminal misconduct by public servants though to some extent it overlaps on the pre-existing offences and enacts a rebuttable presumption contrary to the well known principles of criminal jurisprudence. It also aims to protect honest public servants from harassment by prescribing that the investigation against them could be made only by police officials of particular status and by making the sanction of the government or other appropriate officer a precondition for their prosecution. As it is a socially useful measure conceived in public interest, it should be liberally construed so as to bring about the desired object i.e. to prevent corruption among public servants and to prevent harassment of the honest among them.

(Emphasis added)

74. The Hon'ble Apex Court in the State of Madhya Pradesh v. M.B. Nariman AIR 1975 Supreme Court 1835 observed as under:

The Act must be read as supplemental to the Penal Code....

Further the Prevention of Corruption Act being a social legislation its provision must be liberally construed so as to advance the object of the Act,

75. The salient feature of the Act of 1947 qua the Cr.P.C. 1898 and I.P.C. were as follows:

(1) Sections 161-165 were made separately triable under Act of 1947, (2) Definition of public servant in I.P.C. was made applicable, (3) Sanction under Section 6 was unexceptional and was to apply strictly, (4) Protection to wide range of public servants, which was not available under, Section 197 Cr.P.C. was extended to all of them.

76. The provisions were amended with wider implication in the new Code of Criminal Procedure, 1973 and the Act of 1988, quoted above. The major development was insertion of Section 465 in Cr.P.C., 1973, and wider definition of public servant, deletion of Sections 161 to 165 I.P.C. from I.P.C., and addition of Sub-section (3) & (4) of Section 19 in the Act of 1988.

77. Act of 1988 was enacted as a complete Code with regard to corrupt practices of public servants. The important development, however, was that the rigour of any irregularity or illegality in sanction order, stood diluted to a large extent.

78. Following the earlier judgments in respect to Act of 1947, a Constitution Bench in K. Veeraswami v. Union of India 1991 (3) SCC 655 in paras 28 and 44 observed as under:

The Act was intended to suppress bribery and corruption in public administration and it contains stringent provision.... That does not mean that the Act was intended to condone the offence of bribery and corruption by public servant. Nor it was meant to afford protection to public servant from criminal prosecution for such offences. It is only to protect the honest public servants from frivolous and vexatious prosecution. The competent authority has to examine independently and impartially the material on record to form his own opinion whether the offence alleged is frivolous or vexatious.

The apparent policy of the legislation is to ensure a clean public administration by weeding out corrupt officials. The Preamble of the Act indicates that the Act was intended to prevent more effectively the bribery and corruption by public servants.

(Emphasis added)

79. The object and purpose for enacting the Prevention of Corruption Act was to curb corruption in public services and to deal with corrupt public servants in a more effective and expeditious manner, Sanction for criminal prosecution- purpose and objective:

The provisions pertaining to sanction are on statute books for last more than a century now. We propose to refer the observations made by various High Courts and Apex Court on this aspect.

The Bombay High Court considering Section 197 Cr.P.C., 1898, as long back as in 1929 in *Hanumant Shrinivas Kulkarni v. Emperor* 31 Cr.L.J. 1930 (353) pertaining to sanction, held "the object of the sanction is to guard against vexatious proceedings against public servants and to secure the well considered opinion of a superior authority before their prosecution.

80. The Madras High Court in *E v. G. Sadagopan* 1953 Cr.L.J. 1929 said that the object of sanction is nothing more than to ensure the discouragement of frivolous, doubtful and impolite prosecution.

81. The Calcutta High Court in *Indu Bhushan Chatterjee v. State* AIR 1955 Cal. 430 said, 'the provision for sanction is a most salutary safeguard, The sanctioning authority is placed somewhat in the position of a sentinel at the door of Criminal Courts in order that no irresponsible or malicious prosecution can pass the portals of the Court of Justice.'

82. In *Gurbachan Singh v. State* AIR 1970 Delhi 102 the Delhi Bench of Punjab High Court said "the intention of the legislature in providing for a sanction in respect of the offences covered by Section 6 of the Prevention of Corruption Act is merely to afford a reasonable protection to the public servants in the discharge of their official functions. It is not the object of the section that a public servant who is guilty of the particular offence mentioned in that section should escape the consequences of his criminal act by raising the technical plea of invalidity of sanction. The sanction is a safeguard for innocent and is not a shield for the guilty.

(Emphasis Added)

83. In 1973 Madras Law Journal (Criminal) 660 Air Commodore Kailash Chand v. State, the Andhra Pradesh High Court referring to Section 6 of 1947 Act said "that to safeguard the public servants from any harassment or vexatious proceedings on the one hand and to protect the interests of the State as it affects the morale of the public services when the honesty and integrity of one of its servants is questioned, the Act provides for an impartial scrutiny of the allegations by a competent authority to satisfy itself that there is a prima facie case against the persons charged with.

84. In R.S. Nayak v. A.R. Antulay a Constitution Bench observed as under:

The policy underlying Section 6 and similar sections, is that there should not be unnecessary harassment of public servant. (para 19)

85. The Apex Court in the case of R. Bala Krishna Pillai v. State of Kerala. while referring to the Law Commission's 41st report with respect to Section 197 quoted the following observations of the Law Commission:

The protection afforded by the section would be rendered illusory if it were open to a private person harbouring a grievance to wait until the public servant ceased to hold his official position, and then to lodge a complaint. The ultimate justification for the protection conferred by Section 197 is the public interest in seeking that official acts do not lead to needless or vexatious prosecutions.

(Emphasis added)

86. In the case of P.V. Narsimha Rao v. The State AIR 1998 Supreme Court 2120 the Hon'ble Apex Court held as under:

The requirement of sanction under Section 19(1) is intended as a safeguard against criminal prosecution of a public servant on the basis of malicious or frivolous alleging by interested persons. The object underlying the said requirement is not to condone the commission of an offence by a public servant," (Para-92) (Emphasis added)

87. In the case of Gauri Shankar Prasad v. State of Bihar 2000 SCC (Cri) 872 the Apex Court has held:

The object of the section is to save officials from vexatious proceedings against Judges, magistrates and public servants but it is no part of the policy to set an official above the common law. If he commits an offence not connected with his official duty he has no privilege. But if one of his official acts is alleged to be an offence, the State will not allow him to be prosecuted without its sanction. Section 197 embodies one of the exceptions to the general rules laid down in Section 190 Cr.P.C., that any offence may be taken cognizance of by the Magistrates enumerated therein. Before this

section can be invoked in the case of a public servant two conditions must be satisfied i.e.(1) that the accused was a public servant who was removable from his office only with the sanction of the State Government or the Central Government; and (2) he must be accused of an offence alleged to have been committed by him while acting or purporting to act in the discharge of his official duty.

(Emphasis added)

88. In *State of Himachal Pradesh v. M.P. Gupta*, 2004(2) SCC 349 it was held as under:

The protection given under Section 197 is to protect responsible public servants against the institution of possible vexatious criminal proceedings for offence alleged to have been committed by them while they are acting or purporting to act as public servants. The policy of the legislature is to afford adequate protection to public servants to ensure that they are not prosecuted for anything done by them in the discharge of their official duties without reasonable cause, and if sanction is granted, to confer on the Government, if they choose to exercise it, complete control of the prosecution.

(Emphasis added)

89. In *State of Orissa and Ors. v. Ganesh Chandra Jew* it was held as under:

The protection given under Section 197 is to protect responsible public servants against the institution of possibly vexatious criminal proceedings for offences alleged to have been committed by them while they are acting or purporting to act as public servants. The policy of the legislature is to afford adequate protection to public servants to ensure that they are not prosecuted for anything done by them in the discharge of their official duties without reasonable cause, and if sanction is granted, to confer on the Government, if they choose to exercise it, complete control of the prosecution.(Para-8) (Emphasis added)

90. Very recently, the Hon'ble Apex Court has again reiterated in *JT 2006 (1) SC 1 Rakesh Kumar Mishra v. State of Bihar* as under:

The protection given under Section 197 is to protect responsible public servants against the institution of possibly vexatious criminal proceedings...

91. The object of the legislature for making provision pertaining to sanction seems to be clear, Where a public servant is prosecuted for an offence, which challenges his honesty and integrity, the issue in such a case is not only between the prosecutor and the offender but the State is also vitally concerned in it as it affects the morale of the public servants and also the administrative interests of the State. For these reasons, the discretion to prosecute appears to be taken away from the prosecuting agency and is vested in departmental authorities, i.e., the employer probably with the

view that they may assess and weigh the accusation in a far more dispassionate and responsible manner. The ultimate justification is public interest. It, however, does not condone the commission of an offence by a public servant or to use it as shield to escape from legal proceedings on mere technicalities.

92. Whether the Cadre Controlling Authority is Government of India or the State of Uttar Pradesh?

93. Sri D.S. Mishra and Sri Sushil Kumar, the learned Counsel for the petitioners vehemently argued that two petitioners being in U.P. Cadre, it was the main concern of the State Government to see whether they are functioning honestly or not and whether the allegations made against them required any trial or not. The Central Government merely because it has power to remove, has no role and should have abided the view taken by State Government vide its letter dated 28.6.2002. This leads us to consider in the present case as to who can be said to be actual Cadre Controlling Authority in respect to the petitioners, who are members of the Indian Administrative Service.

94. The two petitioners, Smt. Neera Yadav and Sri Rajiv Kumar, admittedly, are the Members of the Indian Administrative Service belonging to 1971 and 1983 batches respectively. Article 312 of the Constitution of India makes provision for All India Services if the Council of States by resolution supported by not less than two-third of the Members present and voting so resolves, requiring the Parliament to enact law to provide for creation of one or more All-India Services, common to the Union and States, and regulate the recruitment and the conditions of service of persons appointed, to any such service subject to other provisions of Chapter-4 of the Constitution of India. List-1 Schedule-VII, Entry 70 also reads as under:

Union Public Services; All-India Services; Union Public Service Commission.

95. Accordingly, the Parliament enacted All India Services Act, 1951. Section 2 defines All India Services, as under:

(2) Definition: In this Act, the expression "an All-India Service" means the service known as the Indian Administrative Service or the service known as the Indian Police Service [or any other service specified in Section 2A]

96. Section 3 of 1951 Act empowers the Central Government in consultation with the Government of States concerned to make rules for the regulation of recruitment and the condition of service of persons appointed, to an All India Service. In exercise of powers under Section 3 Rules have been framed by Government of India governing recruitment and conditions of service of the members of Indian Administration Service.

97. It is not disputed that a Member of Indian Administrative Service is appointed by the Central Government. Thereafter, he is posted to a particular State Cadre in accordance with the Scheme contained in the Rules. The pervasive control over the member of an Indian Administrative Service throughout his service remains with the Central Government. When he discharge his functions in the State Cadre, where he is posted, the day to day administrative control vests with the concerned

State Government. However, if on any aspect, the view of the Central Government and the State Government comes into conflict, the rules provide that the opinion of the Central Government shall prevail. For example, Rule-3 of India All India Service Discipline Rules, 1969 empowers the concerned Government to suspend a Member of Indian Administrative Service, the proviso provides that where there is a difference of opinion between the State Government and the Central Government, the opinion of the Central Government shall prevail. Similarly, where the administrative orders are passed by the concerned State Government against the Member of All India Services, the appellate powers vest in the Government of India.

98. In respect to a member of Indian Administrative Service the Cadre controlling authority is Government of India. We are of the view that whereas conduct of a member of All India Service is of concern of both the Governments, namely, State Government and Central Government, the ultimate prevailing authority is the Central Government and not the State Government. This, however, would not have much relevance in order to determine the authority competent to grant sanction.

99. In the aforesaid background, we would, now, consider three questions (supra) formulated above.

100. Shri Sushil Kumar, learned Counsel appearing for the petitioners while addressing on question No. 1 argued with vehemence that no sanction under Section 120B, I.P.C. was granted by the Government of India. To appreciate the contention it would be relevant to have a look to the order dated 9.9.2002 of the Government of India granting sanction to the petitioners. A perusal thereof clearly indicates that the sanction under Section 19 includes not only the offences under Section 13(1)(d) and (2) of the Act of 1988 but also under Section 120B, I.P.C. as well as any other offences punishable under other provisions of law in respect of the alleged acts of the petitioners. The relevant portion of the order granting sanction in respect to Smt. Neera Yadav is reproduced below:

10. AND WHEREAS, the above facts and circumstances constitute offences punishable Under Section 120B of the Indian Penal Code and Under Section 13(2) read with 13(1)(d) of the Prevention of Corruption Act, 1988 against the aforesaid Smt. Neera. Yadav, IAS and Shri Ashok Chaturvedi, Chairman and Managing Director of the Flex Group of Industries, NOIDA.

11. AND WHEREAS, the Central Government, being the authority competent to remove said Smt. Neera Yadav from service, after fully and carefully examining all the facts and circumstances of the case as well as the documents and statements of witnesses placed before it in regard to the said allegations considers that Smt. Neera Yadav should be prosecuted in the Court of Law for the said offences.

12. NOW, THEREFORE, the Central Government doth, hereby accords sanction Under Section 19(1) of the Prevention of Corruption Act, 1988 for prosecution of Smt. Neera Yadav for the said offence or for any other offences punishable under the other provisions of law in respect of the aforesaid acts and for taking cognizance of the said offences by the Court of Competent jurisdiction.

101. The order in respect to Sri Rajiv Kumar is similarly worded and, therefore, need not be repeated. Thus, the above contention is factually incorrect, hence rejected.

102. The Central Government, as an employer, has applied its mind and has considered as to whether the proceeding be launched against the aforesaid members of All India Service, are vexatious or genuine. It has also examined whether charges are serious and whether the prosecution is based on valid grounds. It is now to be examined whether the law requires similar scrutiny at another level, i.e., by more than one authority and whether any such authority has the power to veto the satisfaction of other authority, if more than one authorities are required to consider it.

103. The question of more than one authority to consider the question of sanction would not arise in the case of prosecution under Acts 1947 or 1988, for the reason that, as compared to Section 197 Cr.P.C., the scope of protection to public servants under Section 6 of the Act of 1947 and Section 19 of Act of 1988 is very wide. Section 197 of Cr.P.C. read with Section 21 I.P.C. may not cover all the public servants. Sections 6 and 19 of Acts 1947 and 1988 respectively however include a wider range of public servants, i.e., all public servants as defined under Section 21 I.P.C., in case of Section 6 of Act of 1947 & even wider under Section 19 of Act of 1988. The definition of public servants under Act of 1988 is much wider than Section 21 I.P.C. This is by virtue of Clause (c) of Section 6(1) & 19(1) of Acts 1947 & 1988 respectively.

104. There are two requirements to attract Clause (c) of Section 6(1) of the Act of 1947 and Section 19(1) of the Act of 1988, i.e., the incumbent is a public servant and there is an authority competent to remove him. Interpreting Section 6 of the Act of 1947 in *K. Veeraswami (Supra)* the Hon'ble Apex Court observed as under:

Section 6 may now be analysed. Clause (a) of Section 6(1) covers public servants employed in connection with the affairs of the Union. The prescribed authority for giving prior sanction for such persons would be the Central Government. Clause (b) of Section 6(1) covers public servants employed in connection with the affairs of the State. The authority competent to give prior sanction for prosecution for such persons would be the State Government. Clauses (a) and (b) would thus cover the cases of public servants who are employed in connection with the affairs of the Union or State and are not removable from their office save by or with the sanction of the Central Government or the State Government. That is not the end. The section goes further in Clause (c) to cover the remaining categories of public servants. Clause (c) states that in the case of any other person the sanction would be of the authority competent to remove him from his office, Section 6 is thus all embracing bringing within its fold all the categories of public servants as defined under Section 21 of the I.P.C.

105. Further as to who may consider the question of sanction, the Hon'ble Apex Court in *K. Veeraswami (Supra)* observed as under:

The provisions of Clauses (a) and (b) of Section 6(1) of the Act covers certain categories of public servants and the 'other' which means remaining categories are brought within the scope of Clause(c). Clause (c) is independent of and separate from the preceding two clauses. " (Para-31) There are, however, two requirements for the applicability of Clause(c) of Section 6(1) to a Judge of the higher judiciary. First, the Judge must be a public servant. Second, there must be an authority competent to remove the Judge from his office. If these two requirements are complied with, a Judge cannot escape from the operation of the Act. (Para-32)

106. Once the authority competent to remove a public servant, has recorded its satisfaction and has granted the sanction, the requirement of any further sanction may create substantive obstruction in the way of prosecution of such public servant. There is no reason or compulsion to assume a similar scrutiny by a different authority particularly when the appointing authority itself has analyzed the matter and has recorded its satisfaction. It would not only be superfluous but may frustrate the very object of grant of sanction. A member of Indian Administrative Services working in State cadre may develop, with the passage of time, and in discharge of his duties, cordial relations with the politicians and Ors., who matter in the concerned State. It may happen, and the judicial notice can be taken of the fact that the Government at the Centre and the State may have different political affinities. In such case a situation may arise, where the Central Government finds a trial into alleged offence by a court of law against such public servant as genuine and desirable and grants sanction, the State Government for political reasons takes a different view. It may be vice versa. In our view, the decision of authority competent to remove such public servant must prevail over the view of any other authority. We may fortify our aforesaid view with the following additional reasons:

107. Firstly, Section 197 of the Criminal Procedure Code nowhere suggests that the sanction required under the said provision is over and above and in addition to a sanction already provided under a Special Act.

108. Secondly, the contention of the learned Counsel is self-contradictory with reference to interpretation of Section 19 of the Act of 1988. Section 19 specifically requires previous sanction before cognizance of an offence punishable under Sections 7, 10, 11, 13 and 15 of Act of 1988 is taken. It does not talk of any further sanction under any other provision. Sub-section (3) of Section 19 of the said Act provides that in respect to certain irregularities etc. in the matter of sanction, no court shall interfere in certain circumstances affecting the proceedings under the Act of 1988. Taking an illustration, under Sections 7, 10, 11, 13 and 15 of the Act of 1988, any irregularity in sanction would not by itself vitiate the prosecution, by virtue of Sub-section (3), irrespective of anything contained in the Code of Criminal Procedure 1973, yet can it be said that the aforesaid provision shall be rendered ineffective by application of Section 197 Cr.P.C. In our view, apparently, the answer would be in negative. Thus, the argument that, where the act is in discharge of official duties, for prosecution under the provisions of the Act of 1988, sanction Section 197 Cr.P.C. will also be required, is clearly fallacious. Any other interpretation would amount to adding certain words in Section 19 of Act of 1988 and making the Special Act subservient to Section 197 Cr.P.C., which is not permissible. When the provisions of statute are clear, categorical and unambiguous, the Court is not required to read anything more, or make an addition to it.

109. In - Sushil Kumar Sharma v. Union of India the Hon'ble Apex Court held as under:

While interpreting a provision, the Court only interprets the law and cannot legislate it.

110. Thirdly, the Code of Criminal Procedure, 1973 is a procedural law while Act of 1988 is a special enactment and substantive law, having its own independent procedural provisions. Section 40 I.P.C. makes conspiracy an offence under the Special Act, i.e., the Act of 1988. If there is no specific provision under Special Act and the reading of the statute so permits, the general provision of procedural law, like Cr.P.C. would be read in the special Act but not otherwise. For illustration in the Act of 1947, specific provisions pertaining to appeal and revision were absent and thus, the appeal and revision were governed by the provisions of the Cr.P.C. Now under Section 19 of the Act of 1988, special provisions regarding appeal and revision are made in Section 27, and thus, the earlier position stands modified. It cannot be argued now that Ignoring the language of Section 27 of Act of 1988 the matter would still continue to be governed in its entirety by Cr.P.C. Now the power of appeal and revision is subject to provisions of the Act of 1988, which includes various restrictions, imposed by the Act of 1988. This has been noticed and explained by the Hon'ble Apex Court in the case of Central Bureau of Investigation v. V.K. Sehgal AIR 1999 Supreme Court 3706 (paras 15, 16 and 17). The relevant observations are as under;

It is noticeable that no specific provision was incorporated in the 1947 Act regarding appeal and revision and hence the appeal and revision were entirely governed by the provisions of the Code of Criminal Procedure, However, under the Act of 1988 there is a special provision regarding appeal and revision which is incorporated in Section 27, " (Para-15) Thus the powers of appeal and revision of the High Court conferred by the Code of Criminal Procedure shall be "subject to the provisions of" the the Act of 1938, It is worthwhile to notice that a trammel has been imposed on a Court of appeal and revision under Section 19(3)(a) of the the Act of 1988,"(Para-16) It is a further inroad into the powers of the appellate Court over and above the trammel contained in Section 465 of the Code which has been dealt with supra. under Section 19(3)(a) no order of conviction and sentence can be reversed or altered by a Court of appeal or revision even "on the ground of the absence of sanction " unless in the opinion of that Court a failure of justice has been occasioned thereby. By adding the Explanation the said embargo is further widened to the effect that even if the sanction was granted by an authority who was not strictly competent to accord such sanction, then also the appellate as well as revisional Courts are debarred from interfering with the conviction and sentence merely on that ground, (Para-17)

111. A Constitution Bench of the Hon'ble Apex Court in the case of R.S. Nayak v. A.R. Antulay while considering the provisions of Cr.P.C. and the Act of 1947 and interrelationship of the provisions under the aforesaid enactments clearly observed as under:

In the absence of a specific provision made in the statute indicating that offences will have to be investigated, inquired into, tried and otherwise dealt with according to that statute, the same will have to be investigated, inquired into, tried and otherwise dealt with according to the Code of Criminal Procedure. In other words, Code of

Criminal Procedure is the parent statute, which provides for investigation, inquiring into the trial of cases by criminal courts of various designations. (Para-16) (Emphasis added)

112. In the the Act of 1988, specific provision has been made for sanction with reference to the offences under the said Act and thus, it would neither be correct nor is otherwise permissible to import the provisions of Cr.P.C. unless it is specifically provided in the special enactment.

113. In K. Veeraswami (Supra) quoting Craies on Statute Law, the Hon'ble Apex Court held " the construction which would promote the general legislative purpose underlying the provision in question, is to be preferred to a construction which would not. If the literal meaning of the legislative language used would lead to results which would defeat the purpose of the Act the court would be justified in disregarding the literal meaning and adopt a liberal construction which effectual as the object of the legislature.

114. Further while considering Section 6 of the Act of 1947 and Section 197 Cr.P.C. the Hon'ble Apex Court in S.A. Venkataraman v. State (Supra) observed "Section 6 of the Act must be considered with reference to the words used in the Section independent of any construction which may have been placed by the decisions on the words used in Section 197 Cr.P.C.

115. In this regard reference may be made to a very recent observation of Hon'ble Apex Court in Criminal Appeals No. 982-983 of 2003 Dilawar Singh v. Parvinder Singh @ Iqbal Singh and Anr., decided on 8.11.2005:

The Prevention of Corruption Act is a special statute and as the preamble shows this Act has been enacted to consolidate and amend the law relating to the prevention of corruption and for matters connected there with. Here, the principle expressed in the maxim *Generalia specialibus non derogant* would apply which means that if a special provision has been made on a certain matter, that matter is excluded from the general provisions. (See Venkateshwar Rao V, Govt. of Andhra Pradesh , State of Bihar v. Yogendra Singh and Maharashtra State Board of Secondary Education v. Paritosh Bhupesh Kumar Sheth . Therefore, the provisions of Section 19 of the Act will have an overriding effect over the general provisions contained in Section 190 or 319 Cr.P.C A Special Judge while trying an offence under the Provisions of Corruption Act, 1988, cannot summon another person and proceed against him in the purported exercise of power under Section 319 Cr.P.C. if no sanction has been granted by the appropriate authority for prosecution of such a person as the existence of a sanction is *sine quo non* for taking cognizance of the offence qua that person.

(Emphasis added) Fourthly, we notice that the rigour of sanction, as it was initially conceived, has been considerably mellowed down by the legislature, particularly in the Special Acts and the subsequent enactments, laying emphasis on the genuine and bona fide prosecution, and to prevent a mischievous public servant from escaping judicial trial in respect to offences committed by him, on sheer technicalities. In the

case of Kalpnath Rai v. State (through CBI) AIR 1998 Supreme Court 201 the Hon'ble Apex Court while considering under Section 465 Cr.P.C., held as under:

Sub-section (2) of Section 465 of the Code is not a carte blanche for rendering all trials vitiated on the ground of the irregularity of sanction if objection thereto was raised at the first instance itself. The Sub-section only says that 'the Court shall have regard to the fact' that objection has been raised at the earlier stage in the proceedings. It is only one of the considerations to be weighed but it does not mean that if objection was raised at the earlier stage, for that very reason the irregularity in the sanction would spoil the prosecution and transmute the proceedings into a void trial.(Para-29) (Emphasis added)

116. The same view was taken by the Hon'ble Apex Court in the case of V.K. Sehgal (Supra) in para-10 of the judgment, which is as under:

Even if he had raised any such objection at the early stage it is hardly sufficient to conclude that there was failure of justice.

117. In the same case the Hon'ble Apex Court also observed that since the purpose and object of sanction is to prevent a frivolous or vindictive prosecution and once the prosecution has concluded in conviction, it cannot be said that the prosecution was frivolous or vindictive. Since the provisions pertaining to sanction are in public interest and that stand satisfied, any objection with respect to sanction would not vitiate the trial. The Hon'ble Apex Court in V.K. Sehgal and Anr. (Supra) held in para-11 as under:

If that case ends in conviction there is no question of failure of justice on the mere premise that no valid sanction was accorded for prosecuting that public servant, because the very purpose of providing such a filtering check is to safeguard public servants from frivolous or mala fide or vindictive prosecution on the allegation that they have committed offence in the discharge of their official duties. But once the judicial filtering process is over on completion of the trial the purpose of providing for the initial sanction would bog down to a sur-plusage. This could be the reason for providing a bridle upon the appellate and revisional forums as envisaged in Section 465 of the Code of Criminal Procedure.

(Emphasis added)

118. We are conscious of the fact that in the present case the petitioners have raised the issue of sanction at the beginning of the proceeding. However, it is not a case where no sanction has been accorded. The employer, who is the authority competent to remove, has considered and applied its mind and thereafter granted sanction in no uncertain terms permitting prosecution under Section 13(1)(d) and (2) in Act of 1988 as well as Section 120B, I.P.C. and other provisions of other enactments. The public interest has been served and the probability and possibility of vexatious prosecution stands excluded. Now, with the assistance of legal brains raising threadbare and hair

splitting arguments, the petitioners are making an attempt to foil the entire prosecution so as to prevent trial of senior members of Indian Administrative Services, i.e., Country's Principal Civil Service and other important persons. Such an attempt would certainly be against larger public interest.

119. Fifthly, in our view, in the facts and circumstances of the present case, we find there is no authority, which could have granted sanction under Section 197 Cr.P.C. The two petitioners are not covered by either Sub-section (1) (a) or (b) of Section 197 Cr.P.C.

120. It is not disputed that at the time of commission of alleged offence the two petitioners, Smt. Neera Yadav and Rajeev Kumar were employed in the service of NOIDA, which is a statutory autonomous body. The appointment and posting letter of one of the petitioners, Smt. Neera Yadav, is on record, which is annexed as Annexure-S.R.A. 5-Cha in Criminal Revision No. 2300 of 2004 which reads as under:

****mRrj izns'k 'kklu fu;qfDr vuqHkko & 9 la[k;k & 44@nks&9&4@9 997@80 y[kum % fnukad & 7 ekpZ] 1994 dk;kZy; Kki v/kksgLrk{kjh dks ;g dgus dk funsZ'k gqv kS fd jkT;iky egksn;~ us foRrh; fu;e laxzg [k.M&2] Hkkx&2 ls 4 ds ewy fu;e &990 ds v/khu Jherh uhjk ;kno] vkbZo ,o ,lo & 1971 dh lsok;sa uohu vks[kuk vkSn~;ksfxd fodkl izkf/kdj.k] xkfu;kckn ds lkFk okg; lsok ij ,Dr izkf/kdj.k ds v/;{k ,oa eq[; dk;Zikydf vf/kdkjh ds in ij mDr izkf/kdj.k ds fnukad 10&1&94 ds iwokZUg ls rhu o"nZ rd] o'krsZ fd mUgsa blds iwoZ gh okil u cpyk fy;k tk; ;k mlds LFkku ij nwljs vf/kdkjh dh fu;qfDr u dj nh tk;] LFkkukUrfjr fd;s tkus dh Lohd`fr iznku dh gS A 2& jkT;iky egksn; us Hkkjrh; iz'kkldud lsok osru fu;ekoyh & 1994 ds fu;e 93 ds v/khu ;g vkns'k Hkh fn;k gS fd Jherh uhjk ;kno n~okjk dk;ZHkkj xzg.k djus dh frfFk ls v?;{k ,oa eq[; dk;Zikydf vf/kdkjh] uohu vks[kyk vkSn~;ksfxd fodkl izkf/kdj.k] xkft;kckn dk in Hkkj vkSj mRrjnkf;Ro esa mDr fu;eksa fd f'kM~;wy&3 esa mfYyf[kr funs'kd] mn~;ksx] mo izo dkuqj ds in ds le{k ekuk tk;sxk vkSj mDr fu;eksa ds fu;e&1 ds mi fu;e&2 ds v/khu Jherh uhjk ;kno dks vkbZo ,o ,lo ds lqijVbke osrueku :o 5100 & 6700 esa le; le; ij ns; izkIr gksxk A 3& Jherh uhjk ;kno ds osru bR;kfn ij gkusokyk lEiw.kZ O;; mDr izkf/kdj.k n~okjk ogu fd;k tk;sxk A Jherh uhjk ;kno dh mDr in ij fu;qfDr dh vU; 'krsZa bl dk;kZy; Kki ds layXud esa mfYyf[kr gS A d`".k dqekj tXxh mi lfpo lsok esa] izeq[k lfpo] mo izo 'kklu] Hkkjh mn~;ksx foHkx] m[kum A la[k;k&445 1@nks&1&94 rn~fnukad & izfrfyfi layXud dh izfr lfgr fuEu dks lwpukFkZ ,oa vko';d dk;Zokgh gsrq izsf"kr%& 1& mi lfpo] bjoyk psd oso io izo] y[kum A 2& v/;{k ,oa eq[; dk;Zikyu vf/kdkjh] uohu vks[kyk vkSn~;ksfxd fodkl izkf/kdj.k] xkft;kckn A 3& lEcU/kf vf/kdkjh 4& vij funs'kd] mo izo jkT; deZpkjh lkewo chek ,oa ukfer vf/kdkjh] fu;qfDr vuqHkx&5@izf'k{k d lsy A vkKk ls g @ o d`".k dqekj tXxh mi lfpo****

121. The pay scale of petitioner, Smt. Neera Yadav, was determined and fixed under Rule-9(2) of the IAS (Pay) Rules, 1954. Sub-rule (1)(2) and (3) of Rule 9 relevant for the purpose of the present case are quoted as under:

9. Pay of Members of the Service appointed to posts not included in Schedule III-

(1) No members of the Service shall be appointed to a post other than a post specified in Schedule III, unless the State Government concerned in respect of posts under its control, or the Central Government in respect of posts under its control as the case may be, make a declaration that the said post is equivalent in status and responsibility to a post specified in the said Schedule.

(2) The pay of a member of the Service on appointment to a post specified in Schedule III shall be the same as he would have been entitled to, had he been appointed in the post to which the said post is declared: equivalent, (3) For the purposes of this rule 'post other than a post specified in Schedule III' includes, a post under a body (incorporated or not which is wholly or substantially owned or controlled by the Government.

122. Schedule III of the Indian Administrative Service (Pay) Rules, 1954 contains the following posts:

Uttar Pradesh Chief Secretary to Government Chairman, Board of Revenue and Adviser, Land Reforms Member, Board of Revenue Agriculture Production Commissioner Chairman, Administrative Tribunal-I and Chairman, Vigilance Commissioner Principal Secretary to Government Commissioner of Divisions (Agra, Varanasi, Meerut & Lucknow) Chairman, Administrative Tribunal Commissioner of Division Secretary to Government Commissioner for Consolidation Commissioner of Rural Development Secretary to Chief Minister Secretary to Governor Sales Tax Commissioner Transport Commissioner Registrar, Cooperative Societies [Director, Uttar Pradesh Academy of Administration Director of Industries Excise Commissioner Cane Commissioner Secretary, Board of Revenue Labour Commissioner [Inspector- General of Prisons Inspector -General of Registrar-cum-Chief Inspector of Stamps-cum-Addl Secretary Board of Revenue Director of Tourism Director Handlooms

123. Smt. Neera Yadav was not posted as Secretary, Industry Department. She did not function as ex officio Chairman of NOIDA under Section 3 of 1976 Act by virtue of her holding the office of Secretary, Industry Department or being nominee of such Secretary. She was appointed by the State Government as Chairman-cum- Chief Executive Officer, NOIDA by means of the said order. It was not a post included in Schedule III of 1954 Rules and thus, a declaration was made under Rule 9(2) of the aforesaid Rules. She was sent on deputation to NOIDA. As Chairman-cum-Chief Executive Officer, NOIDA Smt. Neera Yadav did not discharge duties in the affairs of the State Court She discharged her duties on deputation in the affairs of a statutory autonomous body, namely, NOIDA. We made specific enquiry and it was not disputed by the petitioners that same was the position in respect to Sri Rajeev Kumar, who was also posted as Deputy Chief Executive Officer, in Foreign Service, i.e., on deputation. These petitioners are public servants, but they, on deputation to NOIDA, were not working in connection with the affairs of the State, i.e., the State Government, The contention of Sri Hajela that while working in NOIDA, they were not public servants is not correct since the definition of public servant in Act of 1988 clearly includes the Officers of NOIDA also.

However, that by itself is not sufficient to attract Section 197 Cr.P.C. That being so, the case of two petitioners is not covered by Clause (a) & (b) of Sub-section (1) of Section 197 Cr.P.C. and, therefore, no sanction was required under these provisions.

124. In the case of *R.R. Chari v. State of Uttar Pradesh* AIR 1962 SC 1573 the Hon'ble Apex Court held with reference to Section 197 Cr.P.C. that where a public servant is loaned to another Government, for Section 197, it would mean that the public servant is employed in connection with the affairs of such Government, who has taken such person on loan. In the present case, applying the said dictum, the two petitioners were discharging duties in the affairs of NOIDA, which is a statutory autonomous body. Such an authority is not one of the competent authorities to grant sanction under Section 197 Cr.P.C.

125. Learned counsel for the petitioners, however, submitted that since the case of the two petitioners would not be covered by any of the clauses of Sub-section (1) of Section 19 of the Act of 1988, the same is not applicable, and unless sanction under Sub-section (1) (b) of Section 197 Cr.P.C. is granted by the State Government, the entire prosecution is vitiated in law. It was urged that the two petitioners, as public servants, were employed in connection with the affairs of the State are not removable from his office by the State Government and thus, Section 19(1)(a) & (b) of the Act of 1988 are not applicable to them. It was further contended that Clause(c) of Sub-section (1) of Section 19 of the Act of 1988 is applicable only to those cases where a person is neither employed in the affairs of the Union of India nor in the affairs of the State, although removable by either of these authorities and, therefore, Sub-clause(c) of Sub-section (1) of 19 of the Act of 1988 is not also applicable, It is submitted that Section 19(1)(c) of the Act of 1988 is applicable to public servants, other than those, who are removable by Central Government or State Government. In our view, even if this submission is accepted, cognizance can be taken without sanction under Section 197 Cr.P.C. In the case of *P.V. Narsimha Rao v. The State* (Supra), (para-92), the Hon'ble Apex Court held has under:

This means that when there is an authority competent to remove a public servant and to grant sanction for his prosecution under Section 19(1) of the Act of 1988 the requirement of sanction precludes a Court from taking cognizance of the offences mentioned in Section 19(1) against him in the absence of such sanction, but if there is no authority competent to remove a public servant and to grant sanction for his prosecution under Section 19(1) there is no limitation on the power of the Court to take cognizance under Section 190, Cr.P.C. of the offences mentioned in Section 19(1) of the the Act of 1988.

The inapplicability of the provisions of Section 19(1) to a public servant would only mean that the intended safeguard was not intended to be made available to him.

(Emphasis added)

126. Thus, in view of the law laid down by the Hon'ble Apex Court in *P.V. Narsimha Rao v. The State* (Supra), Section 197 Cr.P.C. will not come in way, since the limitation on the power of the Court as

contemplated under the aforesaid provision disappear. It would mean that the intended safeguard is not available to the public servant. The court can proceed without any limitation provided under the aforesaid provision, namely, Section 197 of the Cr.P.C. The submission advanced with reference to Section 19 of the Act of 1988 in fact applies to Section 197 Cr.P.C. and goes against petitioners.

127. There is another angle to judge the correctness of the submission. In case for an offence under the Act of 1988 where sanction under Section 19 is granted, Section 197 Cr.P.C. is also applied, the object and purpose with which the provision of sanction has been made, will be rendered futile. It will lead to an exercise in futility. We fail to understand as to why separate sanction under both the enactments would be necessary. Learned counsel for the petitioners could not explain the purpose of requiring sanction under Section 197 Cr.P.C., except that if the law requires, the provisions of sanction has to be observed strictly as it is jurisdictional issue. The Act of 1988 is a Special Act. The statement of objects and reasons for the Act shows that the Parliament was concerned to consolidate and amend law relating to the prevention of corruption and matters connected therewith. It reads as under:

1. The Bill is intended to make the existing anti-corruption laws more effective by widening their coverage and by strengthening the provisions.

128. The Prevention of Corruption Act, 1947, was amended in 1964 based on the recommendations of the Santhanam Committee. There are provisions in Chapter IX of the Indian Penal Code to deal with public servants and those who abet them by way of criminal misconduct. There are also provisions in the Criminal Law Amendment Ordinance, 1944, to enable attachment of ill-gotten wealth obtained through corrupt means, including from transferees of such wealth. The Bill seeks to incorporate all these provisions with modifications so as to make the provisions more effective in combating corruption among public servants.

129. The Bill, inter alia, envisages widening the scope of the definition of the expression "public servant", incorporation of offences under Sections 161 to 165--A of the Indian Penal Code, enhancement of penalties provided for these offences and incorporation of a provision that the order of the trial court upholding the grant of sanction for prosecution would be final if it has not already been challenged and the trial has commenced. In order to expedite the proceedings, provisions for day-to-day trial of cases and prohibitory provisions with regard to grant of stay and exercise of powers of revision on interlocutory orders have also been included.

130. Since the provisions of Sections 161 to 165-A are incorporated in the proposed legislation with an enhanced punishment, it is not necessary to retain those sections in the, Indian Penal Code. Consequently, it is proposed to delete those sections with the necessary saving provision.

131. Sub-section (3) of Section 5 of the Act of 1983 applies the provisions of Cr.P.C. only in so far as they are not inconsistent with the Act in the matter of procedure and power of Special Judge. The same intention is evident from Sections 4(1), (3) and (4), 6(2), 17, 19(3), 22 and 23 of the Act of 1988. There is a marked difference in the language of Sections 197 Cr.P.C. and Section 19 of the Act of 1988. The two provisions are not *pari-materia*. In brief the distinction may be summarized as

under:

(i) Section 197 Cr.P.C. is applicable to a serving public servant and also to those who are no more in service, on account of retirement, termination, dismissal or otherwise, whereas Section 19 of Act of 1988 provides protection only to a public servant who is in service.

(ii) Section 197 Cr.P.C. provides sanction of such authority under whom the public servant at the time of commission of the alleged offence is employed and is restricted only to the affairs of the Union or State and not to any other authority. For example, a public servant neither employed in connection with the affairs of the Union or with the affairs of the State, at the time of commission of alleged offence, would not be entitled to claim any protection under Section 197 Cr.P.C. Section 19 of Act of 1988 extends the protection not only with reference to the employment of the concerned public servant in the affairs of the Union or the State, but also with reference to the power of removal from office by the concerned Government, may be the Central Government or the State Government. It further provides protection to a third category, i.e. all the remaining public servants with reference to the power of removal. For example, in the matter of statutory bodies, local authorities etc. where the power of removal is not exercisable either by the Central Government or the State Government, the sanction of the authority having power of removal is required by 19(1) (c) of the Act of 1988 vide K. Veeraswami (Supra).

132. This find support from the similar view taken by a three Judge Bench of the Hon'ble Apex Court in S.A. Veukataraman v. State 1958 SCR 1040 wherein it was held. " It was suggested that Clause-(c) in Section 6(1) refers to persons other than those mentioned in Clause (a) & (b). The words "employed" are absent in this clause which would, therefore, apply to a person who had ceased to be public servant though he was so at the time of commission of the offence, Clause(c) cannot be construed in this way. The expression " in the case of a person" and "in the case of any other person" must refer to a public servant having regard to the first paragraph of the Sub-section. Clauses (a) & (b), therefore, would cover the case of a public servant, who is employed in connection with the affairs of the Union or the State and is not removable from his office save by or with the sanction of the Central Government or the State Government and Clause(c) would cover the case of any other public servant, whom a competent authority could remove from his office....

133. The same view has been followed and adopted by the Hon'ble Apex Court in C.R. Wazir v. State of Maharashtra AIR 1971 SC 789 State of West Bengal v. Man Mal Bhutoria and Ors. , K. Veeraswami v. (Supra) and Kali Charan Mahapatra v. State of Orissa .

134. In order to restrict the arbitrary and uncontrolled power or possible veto by such authorities (other than the Central Government and State Government), the State Legislature of Uttar Pradesh has inserted the following provision under Section 19(1) after Clause (c).:

(d) Notwithstanding anything contained in Clause (c) the State Government may, where it considers necessary so to do, require the authority referred to in Clause (c), to give previous sanction within the period specified in this behalf and if the said authority fails to give the previous sanction within such period, the previous sanction may be given by the State Government, Explanation,- (1) For the purpose of this clause "authority " does not include any authority under the control of the Central Government.

(2) For removal of doubts it is hereby declared that the power of the State Government under this clause may be exercised also in a case where the authority referred to in Clause (c) has earlier refused to give the previous sanction.

135. The authorities contemplated under Section 19 of Act of 1988 are more than those provided under Section 197 Cr.P.C. Even in those cases where protection under Section 197 Cr.P.C. may not be claimed by a public servant it may come to his rescue when cognizance is to be taken under the Act of 1988. This difference with reference to sanctioning authority has been considered and explained by the Hon'ble Apex Court in *R.R. Chari v. State of Uttar Pradesh* (Supra).

(iii) Section 197 Cr.P.C. is applicable only when the public servant has committed offence while acting or purporting to an Act in discharge of his official duty. Sanction under Section 19 of the Act of 1988 is much wider and do not impose any such restriction.

(iv) Lastly, we also find that although prosecution has been launched under Section 13 of Act of 1988 with respect to criminal misconduct, on the part of the aforesaid two persons in discharge of their official duties, the involvement of these two petitioners in criminal conspiracy to benefit themselves or others can not be construed as an act in discharge of their official duties. Learned counsel for the petitioners addressed us at length to demonstrate that the entire allegations against the petitioners show that their action is in discharge of their official duties and, therefore, without sanction under Section 197 Cr.P.C., no prosecution either under the Act of 1988 or I.P.C. is permissible, and in particular, prosecution under Section 120B, I.P.C. cannot be allowed to proceed further at all. However, we propose to deal with this aspect in detail while considering question No. 2.

136. Before advertng to question No. 2, we intend to deal here with one more vehemently advanced submission, namely that the State Government has absolute discretion to grant or refuse sanction. It is submitted that once the State Government refused sanction the matter should have been taken as closed. Relying on *Gopal Chand Dwarika Das Morarka* (Supra) it was argued that the sanction could be denied on political reasons as well and, therefore, the Government of India should not have proceeded further in the matter.

137. We are afraid that the argument is not constitutionally permissible. The preamble of our Constitution provides Justice-Social, Economic and Political, and equality of status and opportunity for all. A person guilty of serious offences cannot be allowed to escape trial only on account of political reasons. In our view, it would defeat the very purpose for which the Acts of 1947 & 1988 were enacted Indian Administrative Services is the backbone of the executive wing under the

Constitution. It is expected to work without fear, favour and obviously, without indulging itself in corrupt practices and unlawful activities. The Apex Court sounding a word of caution, in *Narendra Madivalapa Kheni v. Manikrao Patil and Ors.* observed as under:

We hope that the civil services in charge of electoral processes which are of grave concern for the survival of our democracy will remember that their masters in statutory matters are the law and law alone, not political superiors if they direct deviance from the dictates of the law. It is never to be forgotten that our counter is committed to the rule of law and therefore functionaries working under statutes, even though they be government servants, must be defiantly dedicated to the law and the Constitution and, subject to them, to policies, projects and directions of the political government....

(Emphasis added) Be you ever so high, the law is above you"--this applies to our Constitutional order. "(Para-13) The civil services have a high commitment to the rule of law, regardless of covert commands and indirect importunities of bosses inside and outside government. Lord Chesham said in the House of Lords in 1958: "He is answerable to law alone and not to any public authority." A suppliant, obsequious, satellite public service--or one that responds to allurements, promotional or pecuniary--is a danger to a democratic polity and to the supremacy of the rule of law. The courage and probity of the hierarchical election machinery and its Engineers, even when handsome temptation entices or huffy higher power browbeats, is the guarantee of electoral purity. Ton conclude, we are unhappy that such aspersions against public servants affect the integrity and morale of the services but where the easy virtue of an election official or political power-wielder has distorted the assembly-line operations, he will suffer one day. (Para 29)

138. If the State Government is allowed to obstruct an otherwise valid prosecution on the ground of political expediency, it would be *ex facie*, arbitrary and discriminatory and violative of Article 14 of the Constitution of India. It may expose the provisions pertaining to sanction to the risk of unconstitutionally. In *Gopal Chand's* case the Privy Council justified refusal of sanction even for political reasons also. We should, however, not forget that Part III of the Constitution of India was not available when in 1948 the Privy Council decided the said case. Further, the Privy Council was considering a matter in a pre-independence era, when such considerations could be valid. After independence, our Constitution mandates rule of law to be supreme governing principle of the land.

139. In the case of *Registered Society v. Union of India and Ors.* (1996) 6 SCC 530, the Apex Court has said as under:

No public servant can; say "you may set aside an order on the ground of mala fide but you cannot hold me personally liable " No public servant can arrogate in himself the power to act in, a manner which is arbitrary.

140. In the case of Shiv Sagar Tiwari v. Union of India (1996) 6 SCC the Apex Court has held as follows.

An arbitrary system indeed must always be a corrupt one. There never was a man who thought he had no law but his own will who did not find that he had no end but his own profit.

141. In the case of Delhi Development Authority v. Skipper Construction and Anr. AIR 1996 SC 175 the court held as follows:

A. democratic Government does not mean a lax Government. The rules of procedure and/or principles of natural justice are not meant to enable the guilty to delay and defeat the just retribution. The wheel of justice may appear to grind slowly but it is duty of all of us to ensure that they do grind steadily and grind well and truly. The justice system cannot be allowed to become soft, supine and spineless.

142. In our view, this reasoning in Gopal Chand's case is no more available after the Constitution Bench of Apex Court has held that sanction cannot be refused at will and is obligatory to be granted if credible material is available. In K. Veeraswami (Supra), the majority view of Hon'ble Shetty, held as under:

The competent authority may refuse sanction for prosecution if the offence alleged has no material to support or it is frivolous or intended to harass the honest officer. But he cannot refuse to grant sanction if the material collected has made out the commission of the offence alleged against the public servant. Indeed he is duty bound to grant sanction if the material collected lend credence to the offence complained of.

(Emphasis added)

143. Even earlier, a Constitution Bench in Matajog Dobey v. H.C. Bhari AIR 1956 SC 44 applied Article 14 to the exercise of power of sanction by the competent authority, it was held in para-15 as under:

If the Government gives sanction against one public servant but declines to do so against another, then the government servant against whom sanction is given may possibly complain of discrimination....

144. Thus, answering question No. 1, we are not agreeable with the contention of the learned Counsel for the petitioners that sanction, under both the Acts, i.e., the Act of 1988 & Cr.P.C., is necessary, for prosecution under Section 13 or any other provision of the Act of 1988.

145. Question No. 1 is, thus, answered in negative.

146. This issue was argued from two angles:

147. First; Section 120B, I.P.C. is an independent and substantive provision and, thus, where Special Judge takes cognizance in a prosecution under the Act of 1988, in a matter where the allegation constitute acts in discharge of official duties, sanction under Section 197 Cr.P.C. would be mandatory failing which the prosecution under Section 120B, I.P.C. cannot proceed. In order to elaborate the submission, learned counsel for the petitioners relied upon cases to show as to what is the meaning of the official acts in discharge of official duty.

148. In the case of Shreekantiah Ramayya Munipalli and Anr. v. State of Bombay AIR 1955 Supreme Court 287 the Hon'ble Apex Court has observed as under:

Now it is obvious that if Section 197, Cr.P.C. is construed too narrowly it can never be applied, for of course it is no part of an official's duty to commit an offence and never can be. But it is not the duty we have to examine to such as the act, because an official act can be performed in the discharge of official duty as well as in dereliction of it.(Para-18;

149. In the case of Amrik Singh v. State of Pepsu AIR 1955 Supreme Court 309 the Hon'ble Apex Court has observed as under:

It is not every offence Committed by a public servant that requires sanction for prosecution under Section 197(1), Criminal P.C.; nor even every act done by him while he is actually engaged in the performance of his official duties; but if the act complained or is directly concerned with his official duties so that, if questioned, it could he claimed to have been done by virtue of the office, then sanction would be necessary; and that would be so, irrespective of whether it was, in fact, a proper discharge of his duties, because that would really a matter defence on the merits, which would have to be investigated at the trial, and could not arise at the stage of the grant of sanction, which must precede the institution of the prosecution. (Para-8)

150. In the case of B. Saha and Ors. v. M.S. Kochar 979 (4) SCC 177 quoting the aforesaid judgments, the Hon'ble Apex Court observed as under:

The words any offence alleged to have been committed by him while acting or purporting to act in the discharge of his official duty" employed in Section 197(1) of the Code, are capable of a narrow as well as a 'wide interpretation. If these words are construed too narrowly, the sanction will be rendered altogether sterile, for, "it is no part of an official duty to commit an offence, and never can be". In the wider sense, these words wilt take under their umbrella every act constituting an offence, committed in the course of the same sanction in which the official duty is performed or purports to be performed. The right approach to the import of these words lies between these two extremes. White on the one hand, it is not every offence committed by a public servant while engaged in the performance of his official duty which is entitled to the protection of Section 197(1), an act constituting an offence, directly and reasonably connected with his official duty will require sanction for

prosecution under the said, provision. At pointed out by Ramaswami, J. in Baijnath v. State of M.P. it is quality of the act that is important, and if it falls within the scope and range of his official duties, the protection contemplated by Section 197 of the Criminal Procedure Code will be attracted. (Para-17) In sum, the sine qua non for the applicability of this section is that the offence charged, be it one of commission or omission, must be one which has been committed by the public servant either in his official capacity or under colour of the office held by him.

(Para-18) (Emphasis added)

151. In the case of Abdul Wahab Ansari v. State of Bihar and Anr. AIR 2000 SC 3187, the Hon'ble Apex Court held as under:

There must be a reasonable connection between the act and the discharge of official duty; the act must bear such relation to the duty that the accused could lay a reasonable claim, but not a pretended or fanciful claim, that he did it in the course of the performance of his duty. In the said case it had been further held that where a power is conjured or a duty imposed by statute or otherwise, and there is nothing said expressly inhibiting the exercise of the power or the performance of the duty by any limitations or restrictions, it is reasonable to hold that it carries with it the power of doing all such acts or employing such means as are reasonably necessary for such execution, because it is a rule that when the law commands a thing to be done, it authorizes the performance of whatever may be necessary for executing its command.

152. In the case of State of H.P. v. M.P. Gupta (Supra) the Hon'ble Apex Court held as under:

Use of the expression "official duty" implies that the act or omission must have been done by the public servant in the course of his service and that it should have been in discharge of his duty. The section does not extend its protective cover to every act or omission done by a public servant in service but restricts its scope of operation to only those acts or omissions which are done by a public servant in discharge of official duty. " (Para-11) It has been widened further by extending protection to even those acts or omissions which are done in purported exercise of official duty. That is under the colour of office. Official duty therefore implies that the act or omission must have been done by the public servant in course of his service and such act or omission must have been performed as part of duty which, further, must have been official in nature. The section has, thus, to be construed strictly, while determining its applicability to any act or omission in the course of service. Its operation has to be limited to those duties which are discharged in the course of duty, But once any act or omission has been found to have been committed by a public servant in discharge of his duty then it must be given liberal and wide construction so far as its official nature is concerned. For instance, a public servant is not entitled to indulge in criminal activities. To that extent the section has to be construed narrowly and in a restricted, manner. But once it is established that that act or omission was done by the public

servant while discharging his duty then the scope of is being official should be construed so as to advance the objective of the section in favour of the public servant. Otherwise, the entire purpose of affording protection to a public servant without sanction shall stand frustrated. For instance, a police officer in discharge of duty may have to use force, which may be an offence for the prosecution of which the sanction may be necessary. But if the same officer commits an act in course of service but not in discharge of his duty then the bar under Section 197 of the Code is not attracted." (Para-12)

153. Learned counsel for the petitioners spent hours to demonstrate that the acts alleged were committed by two petitioners in discharge of their official capacity or official duty, and therefore, unless sanction under Section 197 Cr.P.C. is obtained, cognizance under Section 120B, I.P.C. cannot be taken. In order to show that double sanction is contemplated in a given case, Sri D.S. Mishra, Advocate referred to the Hon'ble Apex Court judgment of R.R. Chari(Supra).

154. Sri Hajela, learned Counsel, however, submitted that this issue can be raised during trial after the respondents had an opportunity to place full evidence before Trial Court. He relied upon the case of P.K. Pradhan v. The State of Sikkim AIR 2001 Supreme Court 2547 where after considering the entire case laws the Hon'ble Apex Court held as under:

It does not matter even if the act exceeds what is strictly necessary for the discharge of the duty, as this question will arise only at a later stage when the trial proceeds on the merits.

155. We have given our considerable thought to the submission. We find that any observation or discussion by us in detail on the question touching the offences/allegations against the two petitioners may prejudice the trial before Special Judge. We thus propose to deal with this issue with circumspection and without going into the merits of the allegations in the charge sheets.

156. In the case of Kali Charan Mahapatra v. State of Orissa (Supra) the Hon'ble Apex Court held as under:

It must be remembered that in spite of bringing such a significant change to Section 197 of the Code in 1973, Parliament was circumspect enough not to change the wording in Section 19 of the Act which deals with sanction. The reason is obvious. The sanction contemplated in Section 197 of the Code concerns a public servant who "is accused of any offence alleged to have been committed by him while acting or purporting to act in the discharge of his official duty." whereas the offences contemplated in PC Act are those which cannot be treated as acts either directly or even purportedly done in the discharge of his official duties. Parliament must have desired to maintain the distinction and hence the wording in the corresponding provision in the former PC Act was materially imported in the new PC Act, 1988 without any change in spite of the change made in Section 197 of the Code.

(Emphasis added)

157. It was held by the Hon'ble Apex Court that the offence contemplated under Act of 1988, are those which cannot be treated as acts either] directly or even purportedly done in the discharge of official duty. That being so, the arguments raised with vehemence by the learned Counsel for the petitioners that mere fact that the sanction has been granted by the Government of India under Section 19 of Act of 1988 shows that all the acts of two petitioners were in discharge of their official duties stands rejected.

158. This leaves us to consider another angle the aspect whether an offence of conspiracy alleged to have been committed under Section 120B, I.P.C. i.e, conspiracy, would it constitute acts in discharge of official duties, particularly where the narration of events is with reference to the acts constituting offence under the Act of 1988, and with at all attract Section 197 Cr.P.C.

159. Privy Council 10 AIR 1948 PC 128 H.H.B. Gill and Anr. v. The King held that the prosecution under Section 161 Cr.P.C. read with Section 120B, I.P.C. does not require any sanction under Section 197 Cr.P.C. since the act of bribe cannot be said to be an act in discharge pf official duty.

160. In AIR (36) 1949 PC 117 Phanindra Chandra Noogy v. The King, the Privy Council held as under:

Applying this reasoning to the case of Gill, a public servant, who had been charged together with one, Lahiri, with being a party to a criminal conspiracy to cheat the Government, whereby offences under Section 120B read with Section 420, Pwnal Code were alleged to have been committed and had also been charged with offences under Section 161 of the Code, their Lordships held that no sanction under Section 197, Criminal P.C. was necessary,(para 4)

161. A Constitution Bench of the Hon'ble Apex Court in the case of Ronald Wood Mathams and Ors. v. State of West Bengal AIR 1954 SC 455 following the aforesaid two judgments clearly approved the dicta laid down in the aforesaid two judgments that sanction under Section 197 Cr.P.C. was not necessary for proceeding against a public servant on charges of conspiracy and bribery.

162. Similar view has been taken in respect to prosecution under different provisions of the Indian Penal Code including Section 120B, I.P.C. as detailed herein below:

(A) In Hori Ram Singh v. Emperor AIR 1939 PC 43 it was held that sanction under Section 270 of the Government of India Act, 1935, which is similar to Section 197(1) of the Code of Criminal Procedure, no sanction was required for prosecution under Section 409 I.P.C.

(B) The same view was followed in AIR 1948 PC 156 Albert West Medas v. The King.

(C) For offence under Section 409 I.P.C. no sanction under Section 197 Cr.P.C. was necessary, has been held in the following: (I) . Om Prakash Gupta v. State of U.P. (II) Satwant Singh v. State of Punjab (III) Baijnath Gupta v. State of Madhya Pradesh (V) P. Arulswami v. State of Madras, (VI) Harihar Prasad v. State of Bihar, (VII) State of Kerala v. V. Padmanabhan Nair (VIII) (IX) R. Balakrishna Pillai v. State of Kerala (X)

(D) With respect to Section 120B, I.P.C. the Hon'ble Apex Court in Harihar Prasad v. State of Bihar(Supra) considering the question of applicability of Section 197 Cr.P.C. has observed as under:

As far as the offences of criminal conspiracy punishable under Section 120B read with Section 409 I.P.C. and also Section 5(2) of the Prevention of Corruption Act are concerned they cannot be said to be of the nature mentioned in Section 197 of the Code of Criminal Procedure.

(Emphasis added)

163. This paragraph has been quoted with approval recently in 2005 (36) AIC 108(Supreme Court) Romesh Lal Jain v. Naginer Singh Rana and Ors. (paras 23 & 38) (E) In State of Kerala v. V. Padmanabhan Nair (Supra) the Hon'ble Apex Court held as under:

That apart, the contention of the respondent that for offences under Sections 406 and 409 read with Section 120B of the I.P.C. sanction under Section 197 of the Code is a condition precedent for launching the prosecution is equally fallacious....

It is no part of the duty of a public servant, while discharging his official duties, to enter into a criminal conspiracy or to indulge in criminal misconduct. (Para-7) (Emphasis added) (F) In State (NCT of Delhi) v. Nabjot Saddhu @ Afsan Guru 122 (2005) DLT 194 (SC) the Hon'ble Apex Court observed as under:

The other submission that the addition of the offence under Section 120B, I.P.C. which does not require sanction, reveals total non-application of mind, does not appeal to us. Though the conspiracy to the commit offences punishable by Section 121B, I.P.C. is covered by Section 121A, probably Section 120B was also referred to by way of abandon caution though the prosecution for the said offence does not require sanction.

(Emphasis added)

164. To put it more clearly, it is no part of the duty of a public servant, while discharging official duties, to enter into a criminal conspiracy or to indulge in criminal misconduct and thus the absence of sanction under Section 197 Cr.P.C. not a bar to proceed with the trial.

165. Moreover, there is an apparent fallacy in the contention of the learned Counsel for the petitioners that just because the petitioners have been charge sheeted under Section 120B, I.P.C., this itself is sufficient to attract Section 197 Cr.P.C. The entire allegations against the petitioners constitute offence under various provisions of Act of 1988, which is a Special Act. Section 40, I.P.C. clarifies that where conspiracy is an offence under the Special Act, Section 120B would be referable to the offence under the said special Act. Section 120B, I.P.C. in the present case cannot be read in isolation and has to be read along with the provisions of the Special Act, i.e., the Act of 1988. Since the sanction under Section 19 of the special Act has been obtained from the competent authority, in our view, Section 197, Cr.P.C. is not attracted, as Section 120B, I.P.C. is referable to the offences committed under the Special Act.

166. In the present case, three charge sheets contain offence under Section 13(1)(d) and (2) of Act of 1988 read with Section 120B, I.P.C. and one charge sheet is only under Section 13(1) (d) & (2) of the Act of 1988. The offences under Act of 1988 as has been held by the Hon'ble Apex Court in Harihar Prasad (Supra), Kalicharan Mahapatra (Supra), which still holds field, does not come within the purview of word "in discharge of the official duty". Thus, the offence of criminal conspiracy under Section 120B, I.P.C., would also not be within the term "in discharge of official duty" and, therefore, Section 197 Cr.P.C. has no application at all.

167. The second question, accordingly, is also replied in negative.

QUESTION NO. 3.

168. In view of the discussions and the findings with reference to the aforesaid two questions, which have been answered in negative, the question No. 3 is also replied in negative. The reasons already given above are not thus being repeated.

169. In view of the aforesaid, answers to the aforesaid three questions are as follows:

(I) For prosecution under Prevention of Corruption Act, 1988, once sanction under Section 19 of the said Act is granted, there is no necessity for obtaining further sanction under Section 197 of the Code of Criminal Procedure.

(II) Where a public servant is sought to be prosecuted under the provisions of Prevention of Corruption Act read with Section 120B, I.P.C., and sanction under Section 19 of Act of 1988 has been granted, it is not at all required to obtain sanction under Section 197 Cr.P.C. from the State Government or any other authority merely because the public servant is also charged under Section 120B, I.P.C.

(III) The offences under the Prevention of Corruption Act, 1988 as well as charge of criminal conspiracy, cannot be said to constitute "acts in discharge of official duty".

170. The record of all these cases shall be placed before the Division Bench for necessary orders.